TROY SCHOOL DISTRICT

20-21 ANNUAL REPORT

ANNUAL COMPREHENSIVE FINANCIAL REPORT
FOR FISCAL YEAR ENDING JUNE 30, 2021

ADMINISTRATION BUILDING

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Troy School District

(a school district in the State of Michigan)

Annual Comprehensive Financial Report
with Supplemental Information
June 30, 2021

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October 5, 2021

To the Citizens of Troy and the
Board Members of Troy School District:

The Annual Comprehensive Financial Report of Troy School District (the "School District") for the fiscal year ended June 30, 2021, hereby submitted. The report was prepared by the School District's Department of Business Services and contains all activities under the control of the Board of Education. Responsibility for both the accuracy of the presented data and the completeness and fairness of the presentation, including all disclosures, rests with the School District. We believe the data, as presented, is accurate in all material respects. The information is presented in a manner designed to fairly set forth the financial position and the results of operations of the School District as measured by the financial activity of the School District's government-wide financial activity and the activity of its various funds. All disclosures necessary to enable the reader to gain the maximum understanding of the School District's financial affairs have been included.

Troy School District is an independent reporting entity fully meeting the criteria established by the Governmental Accounting Standards Board. All funds of the School District are included in this report. The School District does not have component units.

The financial section reports separately the government-wide activities, the governmental fund types, and the fiduciary fund type administered by the board.

The Annual Comprehensive Financial Report was prepared to meet the needs of a broad spectrum of financial statement readers and is divided into the following major sections:

Introductory Section

This section introduces the reader to Troy School District and to this report. Included are facts about the School District, this transmittal letter, and the School District's organizational chart. This letter of transmittal is designed to complement the management's discussion and analysis and should be read in conjunction with it. The management's discussion and analysis can be found in the financial section of this document.

Financial Section

The independent auditor's report, management's discussion and analysis, government-wide financial statements, fund financial statements, and notes to the financial statements are included in this section. These are the School District's basic financial statements and provide an overview for readers who require less detailed information than is contained in the balance of the report. In addition to the basic financial statements, this section includes required and other supplemental information.

The management of the board is responsible for the financial information and representations contained in the financial statements and other sections of the annual report. In preparing the financial statements, it is necessary that management make informed estimates and judgments based on currently available information of the effects of certain events and transactions.

The basic financial statements and supplemental information presented in the financial section of this report present fairly and with full disclosure the financial position and results of the financial operation of the funds in conformity with accounting principles generally accepted in the United States of America and demonstrate compliance with finance-related legal and contractual provisions.

The basis of accounting for each fund is consistent with the activities and objectives of the fund as a fiscal and accounting entity.

The required and other supplemental information contain a more detailed analysis of revenue and expenditures that are compared to the 2020-2021 budgets for the General, Special Revenue, Debt Service, and Capital Projects Funds. In addition, there are combining schedules shown by fund type with totals that agree with those reflected in the basic financial statements section.

Statistical Section

Although this section contains substantial financial information, these tables differ from financial statements in that they present some nonaccounting data, compare 10 years of data, and are intended to reflect economic data, financial trends, and the fiscal capabilities of the School District.

District Overview

The Troy School District is one of the largest and most diverse school districts in Oakland County, Michigan and is governed by an elected, seven-member Board of Education. Our students speak more than 80 languages at home and come to us from nearly every country across the globe. We currently serve 12,723 students in kindergarten through twelfth grade in 20 schools across the district as well as students with developmental disabilities ages 19-26 in our Troy Center for Transition/Grow Program. Our students are educated in 12 elementary schools, four middle schools, two comprehensive college-preparatory high schools, one International Baccalaureate

Academy as well as one alternative high school and Intersect, our online homeschool partnership. Additionally, our state-of-the art early childhood building services our early intervening special education students and houses our GSRP, pre-kindergarten and tuition-based preschool programs. All Troy School District schools are AdvancEd accredited, and every school has a teacher-led AdvancEd school improvement team. In addition, we maintain our Troy Learning Center (adult education, community enrichment, and athletic administration), the bus garage/transportation offices, Rankin building (maintenance, purchasing and our warehouse), the Services building, (teaching and learning, media, special education, food services, and technology departments and other meeting rooms), and the Central Administration building.

Troy School District is in the City of Troy, in the heart of Metropolitan Detroit's northern suburbs. Troy consistently ranks amongst the Safest Cities in Michigan, the Best Town in Michigan to raise a family by Niche and the amongst the Best Cities to live in the U.S. by 24/7 Wall Street. Troy makes up just over 26.61 square miles, is the largest city in Oakland County and the 13th largest city in the State of Michigan, with a population of 85,584. Although the State of Michigan is still recovering from a major recession, Troy weathered the economic storm better than most and has come back strong. The city is the home to over 6,000 businesses with a market value of over $12 billion. Our residents are highly educated and motivated—more than 57% have obtained a bachelor's degree or higher and continue to place a high priority on education. Four universities and colleges have campuses in Troy, and incoming residents report the excellence of the K-12 school system as a key factor in relocating to the area. The district's proximity to Detroit, Ann Arbor and Lansing makes museums, institutions of higher education, and cultural organizations available to classrooms, staff, and families. When Troy is compared to the State of Michigan, we are significantly above state averages in median household income, median house value, and foreign-born and minority populations. Unemployment is below the state average, and the percentage of population working in professional occupations is well above the state average. Troy's population is stable with growth expected through 2035, though demographically the City's residents are aging and becoming more diverse with a robust international community and culture.

Through the 2013 bond issue supported by our community and the 2017 1-mill building and site sinking fund, Troy School District is strategically maintaining its facilities, infrastructure, and technology to ensure safe and secure environments that are conducive to teaching and learning. Over the past seven years, the bond dollars have funded significant mechanical and electrical upgrades, technology purchases and improvements, secure front entries at all the School District's elementary and middle school buildings, roof replacement, and parking lot and infrastructure improvements. Funds were also used to purchase flexible furniture for classrooms, equipment for our high school weight rooms, instruments for our instrumental music programs, and school buses. We have approximately two more years of bond projects to be completed which will include additional building and site improvements to school buildings, the acquisition and installation of technology equipment and technology infrastructure, and the purchase of school buses and furniture. The building site and sinking fund millage is used to make improvements and repairs to the School District's facilities.

District's Academic Focus

The School District's academic focus continues to be guided by its vision, mission, core values and strategic direction.

Our Vision

The Troy School District will become an exemplary learning community that supports innovation and is committed to continuous improvement. The School District will be a place where a collaborative community develops curriculum, instructional strategies, and assessment to ensure all students learn.

Our Mission

The purpose of the Troy School District is to ensure learning for all members of the school community.

Core Values

Our Core Values are focused around three areas: Deepening Learning, Focusing Direction and Cultivating a Collaborative Culture.

- Deeping Learning focuses on creating ambitious outcomes for all students, engaging all learners, and creating innovative instructional practices.
- Focusing Direction occurs through continuous reflection, establishing a clear strategy, and developing meaningful goals.
- Cultivating a Collaborative Culture requires us to make decisions cooperatively through creation of highly effective teams and building capacity of or people.

Strategic Direction

The Troy School District is a dynamic, challenging, and diverse organization where deep learning is the focus. Student achievement historically is near the top of the state and the county, but in the spirit of continuous improvement, our district continued our journey to become a World Class School District throughout the COVID-19 global pandemic.

Our commitment to the four pillars assisted in focusing our direction as we navigated educating students both in-person and virtually throughout the 2020-2021 school year. As a reminder, the four pillars are as follows:

Prioritizing the Learning of Our People, which means making learning at the center of everything we do—not just for our students, but for every member of our staff as well.

Empowering Students to Connect Their Learning to the World, which means giving students ownership over their learning and opportunities to make an impact on the world around them with that learning.

Attending to the Social, Emotional and Physical Well-Being of All, which means that we recognize the pressures and emotional needs that students and staff bring to our classrooms every day, and we have the appropriate supports in place to deal with whatever needs they may have, as well as an ongoing program of inclusivity, mental health awareness and a culture of respect and value for all.

Invest in Pre-Kindergarten Education, which means providing opportunities for all our students to have a high-quality preschool experience that is literacy rich and aligned to our TSD curriculum.

Teachers and administrators in Troy School District implement a comprehensive curriculum for all students in pre-kindergarten through twelfth grade. Our curriculum is based on the Michigan State standards in English language arts, social studies, mathematics, and science.

All state guidelines and requirements have been reviewed by teachers and administrators in the Troy School District and have been integrated into our curriculum. The curriculum of Troy School District meets or exceeds all standards required for school accreditation by the Michigan Department of Education.

Written curriculum and pacing guides function as systematic outlines for instruction. These documents identify what our teachers teach and what students should learn, and many have been uploaded to Rubicon Atlas and/or Schoology, a web-based storage system, providing teachers access to this information from any computer. Class and course goals and objectives have been matched with state, national, and college readiness standards to ensure that we are preparing our students for today, as well as tomorrow. Throughout the Troy School District, high standards infuse the curriculum.

Our system goals are as follows:

- All Troy School District students will be college/career ready in literacy.
- All Troy School District students will be college/career ready in mathematics.
- All Troy School District Students will be college/career ready in science.
- All Troy School District Students will be college/career ready in social studies.

We share the following beliefs that assist us in reaching our goals:

- The Troy School District is committed to excellence.
- The Troy School District is a key element in the community and has a responsibility to be a resource for enhancing the quality of life for all citizens.
- The educational programs will provide each student the best opportunity to learn, to develop personally, and to experience success.
- Public education is fundamental to the preservation and advancement of freedom, democracy, and an effective free enterprise system.
- Positive self-concept and respect for others is fundamental to teaching and learning.
- The educational process will allow for the unique qualities of each individual.

Troy School District has 18 buildings that have achieved state recognition as exemplary schools: Athens High School, Troy High School, Baker Middle School, Boulan Park Middle School, Larson Middle School, Smith Middle School, Barnard Elementary School, Bemis Elementary School, Costello Elementary School, Hamilton Elementary School, Hill Elementary School, Leonard Elementary School, Martell Elementary School, Morse Elementary School, Schroeder Elementary School, Troy Union Elementary School, Wass Elementary School, and Wattles Elementary School. All Troy School District K-12 schools have earned the prestigious Blue Ribbon award from the Michigan Department of Education, and eight of our schools have received the National Blue Ribbon Award (Bemis, Schroeder, Troy Union, Wattles, Larson, Athens, Troy High, and International Academy).

Troy School District's parents value and support education. The School District enjoys the active support and participation of parents in PTO/PTA groups, booster clubs, and building and district-level committees. The School District has enhanced our investment in our work of Equity and Inclusion through our continued involvement in the National Equity Project and the hiring of a Supervisor of Equity, Inclusion, and Community Engagement in 2020-2021. The National Equity Project supports leaders to transform their systems into equitable, resilient, and liberation environments through consulting and coaching to help make informed decisions and take more effective action. Moving forward, our work will be very focused on building culture, conditions, and competencies for excellence and equity.

In March 2020, Troy School District implemented remote learning due to the closure of schools because of the COVID-19 pandemic. The 2020-2021 school year opened remotely, too, and the global health crisis forced the School District to re-think how we deliver a quality education. In the Fall of 2020, we transitioned to a hybrid teaching system, providing real time learning for both in-seat and remote students, allowing the School District to pivot to 100% remote teaching, when necessary, with little disruption to our students. While being met with challenges, we celebrated many successes during the school year. Elementary students made gains in literacy. Middle and high school students won state and national awards. High school student athletes were able to complete. Student musicians and performers found creative ways to use the Arts to bring people together. We were able to celebrate the Class of 2021 with a fantastic in-person graduation.

Economic Condition and Outlook

The COVID-19 global pandemic has created economic volatility in both federal and state funding. The federal government has infused billions of dollars into education through Coronavirus Relief Funding (CRF) and the Elementary and Secondary School Emergency Relief Funding (ESSER). The State of Michigan has been a recipient of these funds and is responsible for distributing them to local education agencies. To date, the School District has received approximately $6.9 million of CRF and ESSER I funds, which were spent in the 2020-2021 year on costs incurred to provide instruction safely and included purchases for technology equipment for teachers and students, online learning resources and personal protective equipment. The School District has also received allocations amounts for ESSER II and ESSER III as well as an equity payment made by the State in the amount of $385 per pupil. Additionally, we anticipate receiving an additional equity payment from the State more than $900 per pupil in the 2021-2022 year. These funding sources will be restricted to use for approved purposes over multiple fiscal years. As a result of the resources, we believe the School District will maintain a healthy financial position for the next few years.

Although positive for our financial health, the infusion of the federal and state funding has created other challenges, particularly in the labor market. With federal assistance available, it has become increasingly challenging to recruit and retain the necessary workforce to support our operations. Our custodial, food service, transportation, and special education support services have operated with an inadequate workforce for the majority of the past eighteen months. This has necessitated increases in wage rates which will put pressure on our annual operating budget.

The School District is financially stable with a solid fund balance. To maintain our stability, it requires that we continue to receive adequate funding to ensure a balanced budget in the future while continuing to provide a world-class education to our students.

The School District did receive affirmation from Standard and Poor's of our AA/Stable rating in May 2021. The economic factors at the time were expected to remain strong and continue to serve as a stabilizing factor for the district assisting in the affirmation of our AA/Stable bond rating.

Internal Controls

This report consists of management's representations concerning the finances of the School District. Consequently, management assumes full responsibility for the completeness and reliability of all the information presented in this report. To provide a reasonable basis for making these representations, management of the School District has established a comprehensive internal control framework that is designed both to protect the School District's assets from loss, theft, or misuse and to compile sufficient reliable information for the preparation of the School District's financial statements in conformity with GAAP. Because the cost of internal controls should not outweigh their benefits, the School District's comprehensive framework of internal controls has been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatement.

As management, we assert that, to the best of our knowledge and belief, this financial report is complete and reliable in all material aspects.

All expenditure requests require proper administrative approval before any transactions and orders for goods can be processed. Individual budget managers are responsible for complying with the School District's purchasing policy and are prohibited from over-expending their legally adopted budget allocations.

Budgetary Controls

The School District maintains budgetary controls to ensure that budgets follow legal provisions in the annual appropriation budget adopted by the Board of Education.

Formal budgetary integration is employed as a management controls device throughout the year for the General Fund, Special Revenue Funds, Capital Projects Funds/Capital Maintenance Fund, and Debt Service Funds. Under the guidelines of Bulletin 1022 (Revised), the State of Michigan's School Accounting Manual, detailed budget information is provided, and appropriate administrators are delegated the responsibility for monitoring and controlling their respective budget allocations. The budget is amended during the year to appropriately address variances that occur.

The administration believes that the existing system of budgetary and accounting controls provides a reasonable level of assurance that errors or irregularities that could be material to the financial statements are prevented or that they would be detected within a timely manner.

As demonstrated by the statements and schedules included in the financial section of this report, the School District continues to meet its responsibility for sound financial management.

Independent Audit

State of Michigan statutes require an annual audit by independent certified public accountants. The accounting firm of Plante & Moran was appointed by the Troy Board of Education to perform this service for the 2020-21 fiscal year. In addition, the 2 CFR 200 requires governmental recipients of federal assistance to have organization-wide financial and compliance audits on an annual basis.

Single Audit

As a recipient of federal, state, and county financial assistance, the School District is responsible for ensuring that an adequate internal administrative control structure is in place to document compliance with applicable laws and regulations related to those programs. Tests are made by the School District's auditors to determine the adequacy of the internal and administrative control structure. This control structure is also subject to periodic evaluation by management.

There were no findings or questioned costs for Federal awards for the year ended June 30, 2021.

Other Information

Enrollment

Enrollment projections are performed annually and, if necessary, adjustments are made. A five-year projection of enrollment is done utilizing data from the county, city, and school district. Information such as live births, cohort survival ratios, residential building permits, and work force/economic statistics is used in the enrollment projections. Historically, this method has proven to be accurate, within a reasonable variance, for planning future facility needs. Current enrollment, as of Spring 2021, is 12,723 students, and we were hopeful that our enrollment would increase by a couple hundred students when developing the budget for the 2021-22 school year. Early enrollment data at the start of the 2021-2022 school year suggests that our fall student count will be short of the estimates used in developing the 2022 budget. We attribute the decrease in enrollment and shortfall from our projections to the ongoing pandemic. Following is a table detailing student count by building.

Building Information

	Acreage	Square Footage	Year Built	Student Count
High Schools				
Athens High School	50.00	398,426	1974	1,579
International Academy East	(included with Baker)	81,455	1952	571
Troy High School	73.13	343,207	1992	2,100
Troy College and Career High School	4.21	37,520	1978	212
Middle Schools				
Baker Middle School	40.00	128,458	200	694
Boulan Middle School	16.00	111,190	1971	844
Larson Middle School	31.94	111,190	1971	733
Smith Middle School	13.79	101,094	1967	628
Elementary Schools				
Barnard Elementary School	15.01	64,312	1978	480
Bemis Elementary School	15.38	64,312	1978	506
Costello Elementary School	22.95	52,175	1972	405
Hamilton Elementary	14.83	64,312	1983	458
Hill Elementary School	12.94	54,456	1967	338
Leonard Elementary School	11.76	59,340	1959	431
Martell Elementary School	14.20	52,919	1972	388
Morse Elementary School	6.64	54,636	1956	432

Schroeder Elementary School	10.00	61,989	1970	476
Troy Union Elementary School	21.78	68,777	1925	446
Wass Elementary School	20.14	64,312	1978	400
Wattles Elementary School	19.00	59,270	1967	425
VLAC (K-8)				9
Administration Building	15.00	12,000	1973	0
Services Building	(Included with Administration Building)	29,263	2000	0
Preschool	13.60	72,000	2019	108
Troy Center for Transitions	(Included in Baker)	(Included in Baker)	2007	59
Transportation Building	4.85	13,728	1964	0
Rankin (Warehouse)	1.59	24,840	Unknown	0
Total	448.74	2,185,181		12,723
Vacant Property	128.30			

Awards

This report has been prepared following the guidelines recommended by the Association of School Business Officials (ASBO). The ASBO awarded a Certificate of Excellence in Financial Reporting to the Troy School District for its Annual Comprehensive Financial Report for the fiscal years ended June 30, 1989-2019. To be awarded a Certificate of Excellence, the School District must publish an easily readable and efficiently organized Annual Comprehensive Financial Report. This report must satisfy both accounting principles generally accepted in the United States of America and applicable legal requirements.

A Certificate of Excellence is valid for a period of one year only. We believe that our current Annual Comprehensive Financial Report continues to meet the Certificate of Excellence Program's requirements and we are submitting it to ASBO to determine its eligibility for another certificate.

Acknowledgments

The preparation of this report was accomplished through the commitment and dedication of the business office. The Annual Comprehensive Financial Report was prepared by Troy School District's Business Services Department.

Continued diligence in fiscal management and timely communication between the administration and Board of Education will facilitate efforts to exceed the present high level of excellence expected by the School District's constituents.

For the community to know the content of this report, copies will be made available on the School District's website, at the City of Troy Library, and at the offices of the city manager and city clerk.

Respectfully submitted,

Rick West

Rick West
Assistant Superintendent, Business Services

Kandice Moynihan
Director of Finance, Business Services

Troy School District

District Officials

Board of Education

Karl Schmidt, President

Dr. Nicole Wilson, Vice President

Gary Hauff, Secretary

Vital Anne, Trustee

Steve Gottlieb, Trustee

Elizabeth Hammond, Trustee

Dr. Nancy Philippart, Trustee

Administration

Richard Machesky, Ed.D., Superintendent

Rick West, Assistant Superintendent. Business Services

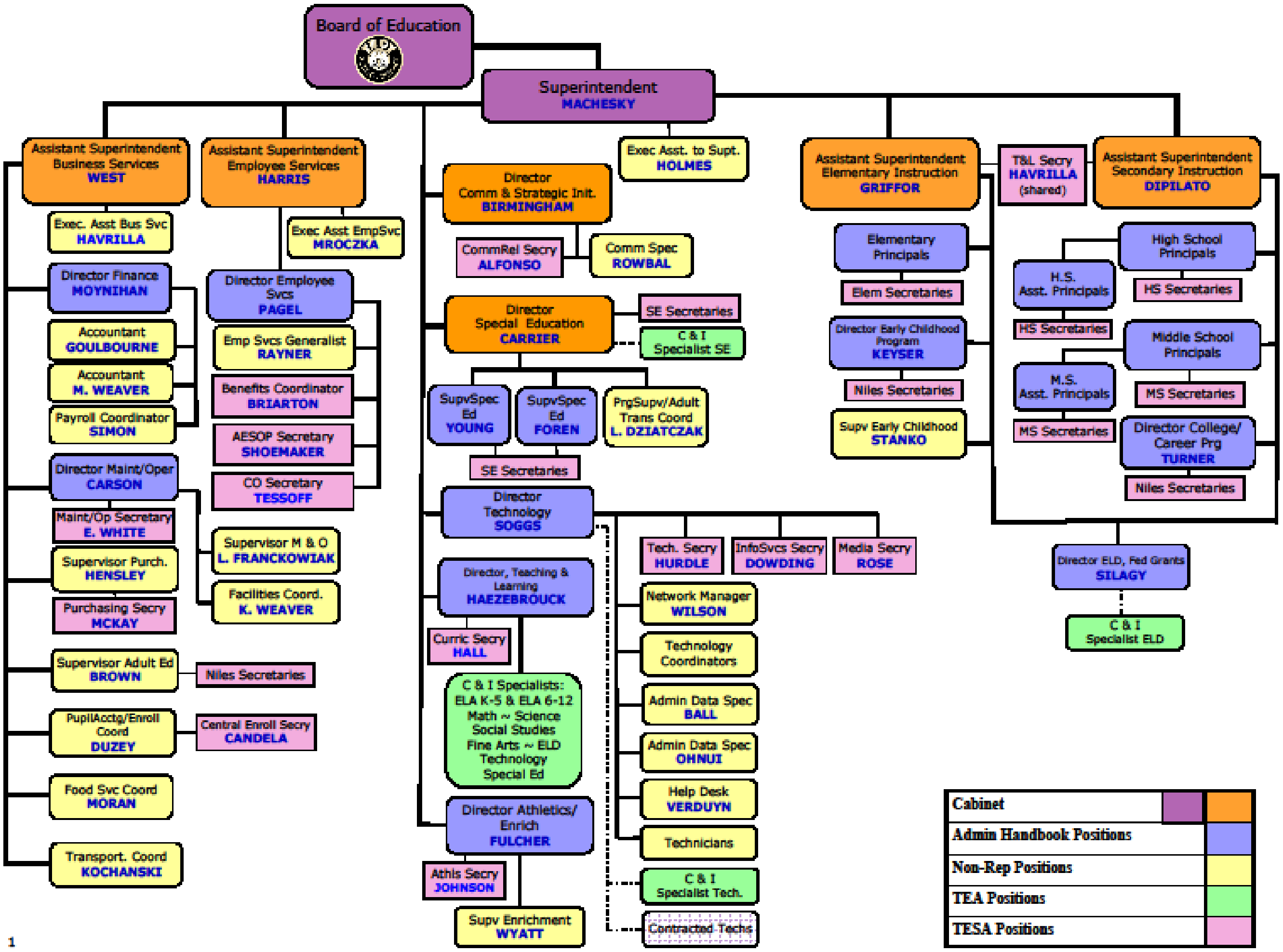
Christine DiPilato, Assistant Superintendent Secondary Instruction

Jordan Harris, Assistant Superintendent Employee Services

Kristine Griffor, Assistant Superintendent Elementary Instruction

Kerry Birmingham, Director of Communications and Strategic Initiatives

2020/2021 ORGANIZATIONAL CHART



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ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

The Certificate of Excellence in Financial Reporting
is presented to

Troy School District

for its Comprehensive Annual Financial Report
for the Fiscal Year Ended June 30, 2020.

The report meets the criteria established for
ASBO International's Certificate of Excellence.

CERTIFICATE OF EXCELLENCE
IN FINANCIAL REPORTING

W. Edward Chabal
President

David J. Lewis
Executive Director

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Independent Auditor's Report

To the Board of Education
Troy School District

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, each major fund, and the aggregate remaining information of Troy School District (the "School District") as of and for the year ended June 30, 2021 and the related notes to the financial statements, which collectively comprise Troy School District's basic financial statements, as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining information of Troy School District as of June 30, 2021 and the respective changes in its financial position for the year then ended in accordance with accounting principles generally accepted in the United States of America.

To the Board of Education
Troy School District

Required Supplemental Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and other required supplemental information, as identified in the table of contents, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, which considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplemental information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Troy School District's basic financial statements. The other supplemental information, as identified in the table of contents, and introductory section and statistical section schedules are presented for the purpose of additional analysis and are not a required part of the basic financial statements.

The other supplemental information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the other supplemental information is fairly stated in all material respects in relation to the basic financial statements as a whole.

The introductory section and statistical section schedules have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and, accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated October 5, 2021 on our consideration of Troy School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Troy School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Troy School District's internal control over financial reporting and compliance.

Plante & Moran, PLLC

October 5, 2021

This section of the annual financial report for Troy School District (the "School District") presents our discussion and analysis of the School District's financial performance during the year ended June 30, 2021. Please read it in conjunction with the School District's financial statements, which immediately follow this section.

Using This Annual Report

This annual report consists of a series of financial statements and notes to those financial statements. These statements are organized so the reader can understand Troy School District financially as a whole. The government-wide financial statements provide information about the activities of the whole School District, presenting both an aggregate view of the School District's finances and a longer-term view of those finances. The fund financial statements provide the next level of detail. For governmental activities, these statements tell how services were financed in the short-term and what remains for future spending. The fund financial statements look at the School District's operations in more detail than the government-wide financial statements by providing information about the School District's most significant funds, the General Fund and the 2019 Capital Projects Fund, with all other funds presented in one column as nonmajor funds. The remaining statements, the statement of fiduciary net position and statement of changes in fiduciary net position, present financial information about custodial accounts for which the School District acts solely as an agent for the benefit of students and parents. This report is composed of the following elements:

Management's Discussion and Analysis (MD&A)
(Required Supplemental Information)

Basic Financial Statements

Government-wide Financial Statements

Fund Financial Statements

Notes to Basic Financial Statements

Required Supplemental Information

Budgetary Comparison Schedule - General Fund

Schedule of the School District's Proportionate Share of the Net Pension Liability

Schedule of Pension Contributions

Schedule of the School District's Proportionate Share of the Net OPEB Liability

Schedule of OPEB Contributions

Other Supplemental Information

Statistical Section

Reporting the School District as a Whole - Government-wide Financial Statements

One of the most important questions asked about the School District is, "As a whole, what is the School District's financial condition as a result of the year's activities?" The statement of net position and the statement of activities, which appear first in the School District's financial statements, report information on the School District as a whole and its activities in a way that helps you answer this question. We prepare these statements to include all assets, deferred outflows of resources, liabilities, and deferred inflows of resources using the accrual basis of accounting, which is similar to the accounting used by most private sector companies. All of the current year's revenue and expenses are taken into account, regardless of when cash is received or paid.

These two statements report the School District's net position - the difference between assets plus deferred outflows of resources and liabilities plus deferred inflows of resources, as reported in the statement of net position - as one way to measure the School District's financial health or financial position. Over time, increases or decreases in the School District's net position - as reported in the statement of activities - are indicators of whether its financial health is improving or deteriorating. The relationship between revenue and expenses is the School District's operating results. However, the School District's goal is to provide services to our students, not to generate profits as commercial entities do. One must consider many other nonfinancial factors, such as the quality of the education provided and the safety of the schools, to assess the overall health of the School District.

The statement of net position and the statement of activities report the governmental activities for the School District, which encompass all of the School District's services, including instruction, support services, community services, athletics, and food services. Property taxes, unrestricted state aid (foundation allowance revenue), and state and federal grants finance most of these activities.

Reporting the School District's Fund Financial Statements

The School District's fund financial statements provide detailed information about the most significant funds - not the School District as a whole. Some funds are required to be established by state law and by bond covenants. However, the School District establishes many other funds to help it control and manage money for particular purposes (the Food Service Fund is an example) or to show that it is meeting legal responsibilities for using certain taxes, grants, and other money (such as bond-funded construction funds used for voter-approved capital projects).

Governmental Funds

Governmental fund reporting focuses on showing how money flows into and out of funds and the balances left at year end that are available for spending. They are reported using an accounting method called modified accrual accounting, which measures cash and all other financial assets that can readily be converted to cash. The governmental fund statements provide a detailed short-term view of the operations of the School District and the services it provides. Governmental fund information helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the School District's programs. We describe the relationship (or differences) between governmental activities (reported in the statement of net position and the statement of activities) and governmental funds in a reconciliation.

Fiduciary Funds

The School District has certain fiduciary responsibility for its custodial funds. All of the School District's fiduciary activities are reported in the separate statement of fiduciary net position and statement of changes in fiduciary net position. We exclude these activities from the School District's other financial statements because the School District cannot use these assets to finance its operations. The School District is responsible for ensuring that the assets reported in these funds are used for their intended purposes.

The School District as a Whole

Recall that the statement of net position provides the perspective of the School District as a whole. The following table provides a summary of the School District's net position as of June 30, 2021 and 2020:

	Governmental Activities	
	2021	2020
	(in millions)	
Assets		
Current and other assets	$ 84.1	$ 86.2
Capital assets	199.2	197.1
Total assets	283.3	283.3
Deferred Outflows of Resources	93.4	106.3
Liabilities		
Current liabilities	27.0	23.1
Noncurrent liabilities	145.8	160.8
Net pension liability	308.1	291.7
Net OPEB liability	48.1	64.2
Total liabilities	529.0	539.8
Deferred Inflows of Resources	48.8	46.0
Net Position (Deficit)		
Net investment in capital assets	82.2	76.3
Restricted	0.8	2.4
Unrestricted	(284.1)	(274.9)
Total net position (deficit)	**$ (201.1)**	**$ (196.2)**

The above analysis focuses on net position. The change in net position of the School District's governmental activities is discussed below. The School District's net position was $(201.1) million at June 30, 2021. Net investment in capital assets totaling $82.2 million compares the original cost, less depreciation of the School District's capital assets, to long-term debt used to finance the acquisition of those assets. Most of the debt will be repaid from voter-approved property taxes collected as the debt service comes due. Restricted net position is reported separately to show legal constraints from debt covenants and enabling legislation that limit the School District's ability to use that net position for day-to-day operations. The remaining amount of net position ($(284.1) million) was unrestricted.

The $(284.1) million in unrestricted net position of governmental activities represents the accumulated results of all past years' operations and the impact from adoption of GASB Statement Nos. 68 and 75 (recording the School District's share of the net pension and OPEB liabilities). The unrestricted net position balance enables the School District to meet working capital and cash flow requirements and to provide for future uncertainties. The operating results of the General Fund and the change in the net pension and OPEB liabilities will have a significant impact on the change in unrestricted net position from year to year.

The results of this year's operations for the School District as a whole are reported in the condensed statement of activities below, which shows the changes in net position for the years ended June 30, 2021 and 2020:

	Governmental Activities	
	2021	2020
	(in millions)	
Revenue		
Program revenue:		
Charges for services	$ 1.8	$ 5.9
Operating grants	52.9	37.0
General revenue:		
Taxes	60.8	59.1
State aid not restricted to specific purposes	81.7	82.5
Other	1.7	7.8
Total revenue	198.9	192.3
Expenses		
Instruction	120.9	126.1
Support services	67.7	67.8
Athletics	1.7	2.2
Food services	2.4	3.0
Community services	6.3	4.4
Debt service	4.8	5.1
Total expenses	203.8	208.6
Change in Net Position	(4.9)	(16.3)
Net Position (Deficit) - Beginning of year	(196.2)	(179.9)
Net Position (Deficit) - End of year	**$ (201.1)**	**$ (196.2)**

As reported in the statement of activities, the cost of all of our governmental activities this year was $203.8 million. Certain activities were partially funded from those who benefited from the programs ($1.8 million) or by other governments and organizations that subsidized certain programs with grants and contributions ($52.9 million). We paid for the remaining public benefit portion of our governmental activities with $60.8 million in taxes, $81.7 million in state foundation allowance, and our other revenue (i.e., interest and general entitlements).

The School District experienced a decrease in net position of $4.9 million. The reduction in net position is primarily attributable to the net decrease in deferred pension and OPEB costs at June 30, 2021.

As discussed above, the net cost shows the financial burden that was placed on the State and the School District's taxpayers by each of these functions. Since property taxes for operations and unrestricted state aid constitute the vast majority of district operating revenue sources, the Board of Education and administration must annually evaluate the needs of the School District and balance those needs with state-prescribed available unrestricted resources.

The School District's Funds

As we noted earlier, the School District uses funds to help it control and manage money for particular purposes. Looking at funds helps the reader consider whether the School District is being accountable for the resources taxpayers and others provide to it and may provide more insight into the School District's overall financial health.

As the School District completed this year, the governmental funds reported a combined fund balance of $57.8 million, which is a decrease of $6.2 million from last year. The primary reasons for the decrease are as follows:

In the General Fund, our principal operating fund, the fund balance increased $6.7 million to $32.7 million. This is the sixth consecutive year of adding to the fund balance. Troy School District continues to have good General Fund reserves; the total available (unassigned) fund balance is 19.88 percent of 2021 general operating expenditures.

Fund balance of our special revenue funds increased from $2.8 million last year to $3.1 million this year.

Combined, the fund balance of our debt service funds decreased $1.2 million. Millage rates are determined annually to ensure that the School District accumulates sufficient resources to pay annual bond issue-related debt service. There was no change in the debt millage rates from the 2020 levy compared to 2019 (4.10 mills). Debt service fund balances are reserved since they can only be used to pay debt service obligations.

Combined, the fund balance of our capital project funds decreased $12.1 million. This decrease is primarily due to continued construction related to the 2016 bond issue and 2019 bond issues. The 2016 bond-funded construction projects were completed in the 2020-2021 fiscal year. In 2020, the School District issued $6.1 million in limited general obligation bonds. These bonds were issued in accordance with state law and were used for the purchase of the Troy Learning Center property and building, as well as the renovating, equipping, and furnishing of such building. The 2020 bond-funded construction projects were also completed in the 2020-2021 fiscal year. The Troy School District Preschool opened for operations in the 2019-2020 fiscal year, and all remaining close-out projects of the Early Childhood Learning Capital Projects Fund were completed in the 2020-2021 fiscal year. The School District collected $4.1 million in voter-approved sinking fund millage. This millage is available to fund specific capital projects allowed by state law and approved by the voters.

Budgetary Highlights

Over the course of the year, the School District revises its budget as it attempts to deal with unexpected changes in revenue and expenditures. State law requires that the budget be amended to ensure that expenditures do not exceed appropriations. The final amendment to the budget was adopted in June 2021. A schedule showing the School District's original and final budget amounts compared with amounts actually paid and received is provided in required supplemental information of these financial statements.

There were significant revisions made to the 2020-2021 General Fund original budget. Budgeted revenue was increased $21.7 million, primarily related to state and federal sources. The original budget assumed a $700 per pupil reduction to foundation allowance for fiscal year 2020-2021. State source revenue was increased $14.8 million to reflect no per pupil reduction (the foundation allowance remained flat at $9,315 per pupil) and a modification to the pupil membership blend calculation for the 2020-2021 year. The final budget also accounted for a one-time $65 per pupil funding increase and changes to certain categorical revenue from the State. Federal revenue was increased $6.8 million to account for funding related to COVID-19 from various sources, primarily Coronavirus Relief Funds (CRF) provided under the CARES Act ($6.7 million). Interdistrict revenue was increased $1.0 million due to an increase in PA 18 millage funding, and $1.4 million in revenue from the sale of property was removed from the final budget, as the property sale is not expected to close until fiscal year 2021-2022. There were no significant variances between the final budget and actual revenue amounts.

Budgeted expenditures were also amended. Salaries and benefits were adjusted to reflect 2020-2021 staffing levels and were increased to account for certain collective bargaining signing bonus payments and an increase in certain retirement costs passed through the State of Michigan (Section 147c). Purchased services budgets were reduced to reflect operations necessary under a hybrid educational environment for the entire 2020-2021 school year due to the COVID-19 pandemic. Supplies budgets were increased to account for costs incurred to provide instruction safely due to COVID-19 and included purchases for technology equipment for teachers and students, online learning resources, and personal protective equipment. The final budget assumed the Troy Preschool and Troy Learning Center 2020-2021 debt obligations, originally included in the special revenue fund budgets. There were no significant variances between the final budget and actual expenditure amounts.

All special revenue fund budgets were amended to account for the impact of hybrid operations and related activities due to the COVID-19 pandemic.

Capital Assets and Debt Administration

Capital Assets

As of June 30, 2021 and 2020, the School District had $199.2 million and $197.1 million, respectively, invested in a broad range of capital assets, including land, buildings, vehicles, furniture, and equipment. This represents a net increase (including additions, disposals, and depreciation) of approximately $2.1 million from 2021 to 2020.

	2021	2020
Land	$ 2,086,043	$ 2,086,043
Construction in progress	1,078,851	6,630,064
Buildings and improvements	339,039,052	326,709,253
Furniture and equipment	50,670,800	49,085,529
Total capital assets	392,874,746	384,510,889
Less accumulated depreciation	193,697,815	187,444,342
Total capital assets - Net of accumulated depreciation	**$ 199,176,931**	**$ 197,066,547**

This year's additions of $10.8 million included building renovations, site work, and vehicle and equipment purchases. We present more detailed information about our capital assets in the notes to the basic financial statements.

Debt

At the end of this year, the School District had $130.3 million in bonds outstanding versus $140.6 million in the previous year.

Those bonds consisted of the following:

	2021	2020
General obligation bonds	$ 130,280,000	$ 140,565,000
Bond premium	7,678,963	12,429,510
Total	**$ 137,958,963**	**$ 152,994,510**

The School District's general obligation bond rating is AA/Stable, as affirmed by Standard & Poor's in May 2021. The State limits the amount of general obligation debt that schools can issue to 15 percent of the assessed value of all taxable property within the School District's boundaries. The School District's outstanding unqualified general obligation debt of $130.3 million is significantly below this $613.8 million statutorily imposed limit. If the School District issues qualified debt (i.e., debt backed by the State of Michigan), such obligations are not subject to this debt limit. The School District has not issued qualified debt.

Other obligations include compensated absences, including accrued sick and vacation pay, and termination benefits payable to eligible administrators at the time of termination or retirement. We present more detailed information about our long-term liabilities in the notes to the basic financial statements.

Economic Factors and Next Year's Budgets and Rates

Our elected officials and administration consider many factors when setting the School District's 2021-2022 fiscal year budget. One of the most important factors affecting the budget is our student count. The state foundation revenue is determined by multiplying the blended student count by the foundation allowance per pupil. The 2021-2022 budget was adopted in June 2021 based on an estimate of students who will enroll in September 2021. Approximately 64.0 percent of total General Fund revenue is from the foundation allowance and state sources. Under state law, the School District cannot access additional property tax revenue for general operations. As a result, district funding is heavily dependent on the State’s ability to fund local school operations. Once the final student count and related per pupil funding are validated, state law requires the School District to amend the budget if actual district resources are not sufficient to fund original appropriations. Based on early enrollment data at the start of the 2022 school year, we anticipate that the fall student count will be short of the estimates used in creating the 2022 budget, as the COVID-19 pandemic continues to create uncertainty for parents.

Since the School District's revenue is heavily dependent on state funding and the health of the State's School Aid Fund, the actual revenue received depends on the State's ability to collect revenue to fund its appropriation to the School District.

The State periodically holds a Consensus Revenue Estimating Conference (CREC) to estimate revenue. The School District based the 2021-2022 budget based on the results of the May CREC, estimating an increase of $163 per pupil, for a total foundation allowance of $9,478 for 2021-2022. The per pupil estimate was consistent with the governor's executive budget framework at the time, as the School Aid Act for the 2021-2022 school year had not been approved by the Legislature at the time of budget adoption, making it challenging for all districts in the state to budget accurately. Subsequent to year end, the School Aid Act was approved, and the School District will realize an additional $171 per pupil compared to 2020-2021.

Contacting the School District's Management

This financial report is intended to provide our taxpayers, parents, and investors with a general overview of the School District's finances and to show the School District's accountability for the money it receives. If you have any questions about this report or need additional information, we welcome you to contact the business office at 4400 Livernois, Troy, MI 48098.

Statement of Net Position

June 30, 2021

	Governmental Activities
Assets	
Cash and cash equivalents (Note 4)	$ 24,576,586
Receivables:	
Other receivables	367,834
Due from other governmental units	22,481,914
Inventory	126,751
Prepaid expenses and other assets	131,932
Restricted assets (Note 5)	36,391,198
Capital assets:	
Capital assets not being depreciated (Note 6)	3,164,894
Capital assets - Net of accumulated depreciation (Note 6)	196,012,037
Total assets	283,253,146
Deferred Outflows of Resources	
Deferred charges on bond refunding (Note 9)	517,860
Deferred pension costs (Note 11)	69,417,209
Deferred OPEB costs (Note 11)	23,463,672
Total deferred outflows of resources	93,398,741
Liabilities	
Accounts payable	2,509,401
Due to other governmental units	5,299,819
Accrued liabilities:	
Accrued salaries and wages	8,951,060
Payroll taxes and withholdings	6,403,279
Accrued interest payable	606,366
Unearned revenue (Note 8)	3,068,278
Noncurrent liabilities:	
Due within one year (Note 9)	15,588,619
Due in more than one year (Note 9)	130,254,717
Net pension liability (Note 11)	308,094,061
Net OPEB liability (Note 11)	48,088,931
Total liabilities	528,864,531
Deferred Inflows of Resources	
Revenue in support of pension contributions made subsequent to the measurement date (Note 11)	11,658,202
Deferred pension cost reductions (Note 11)	1,056,476
Deferred OPEB cost reductions (Note 11)	36,130,636
Total deferred inflows of resources	48,845,314
Net Position (Deficit)	
Net investment in capital assets	82,174,848
Restricted:	
Capital Projects	523,276
Food Service	281,831
Unrestricted	(284,037,913)
Total net position (deficit)	**$ (201,057,958)**

See notes to basic financial statements.

Statement of Activities

Year Ended June 30, 2021

	Expenses	Program Revenue: Charges for Services	Program Revenue: Operating Grants and Contributions	Governmental Activities: Net (Expense) Revenue and Changes in Net Position
Functions/Programs				
Primary government - Governmental activities:				
Instruction	$ 120,915,752	$ 436,849	$ 35,317,057	$ (85,161,846)
Support services	67,702,339	-	15,135,881	(52,566,458)
Athletics	1,700,708	319,969	-	(1,380,739)
Food services	2,416,697	35,261	2,402,956	21,520
Community services	6,324,376	1,010,456	-	(5,313,920)
Interest	4,533,849	-	-	(4,533,849)
Other debt costs	281,108	-	-	(281,108)
Total primary government	**$ 203,874,829**	**$ 1,802,535**	**$ 52,855,894**	(149,216,400)
General revenue:				
Taxes:				
Property taxes, levied for general purposes				39,308,501
Property taxes, levied for debt service				17,345,162
Property taxes, levied for capital projects				4,152,751
State aid not restricted to specific purposes				81,687,900
Federal grants and contributions not restricted to specific purposes				23,088
Interest and investment earnings				97,442
Loss on disposal of capital assets				(708,156)
Student activities				1,186,381
Other				1,225,027
Total general revenue				144,318,096
Change in Net Position				(4,898,304)
Net Position (Deficit) - Beginning of year				(196,159,654)
Net Position (Deficit) - End of year				**$(201,057,958)**

See notes to basic financial statements.

Governmental Funds Balance Sheet

June 30, 2021

	General Fund	2019 Capital Projects Fund	Nonmajor Governmental Funds	Total Governmental Funds
Assets				
Cash and cash equivalents (Note 4)	$ 19,632,935	$ -	$ 4,943,651	$ 24,576,586
Receivables:				
Other receivables	366,416	-	1,418	367,834
Due from other governmental units	21,434,912	-	1,047,002	22,481,914
Due from other funds (Note 7)	15,294,052	196,769	277,738	15,768,559
Inventory	87,927	-	38,824	126,751
Prepaid expenses and other assets	131,932	-	-	131,932
Restricted assets (Note 5)	-	18,369,796	18,021,402	36,391,198
Total assets	**$ 56,948,174**	**$ 18,566,565**	**$ 24,330,035**	**$ 99,844,774**
Liabilities				
Accounts payable	$ 901,422	$ 335,343	$ 1,272,636	$ 2,509,401
Due to other governmental units	5,299,819	-	-	5,299,819
Due to other funds (Note 7)	-	-	15,768,559	15,768,559
Accrued liabilities	15,354,339	-	-	15,354,339
Unearned revenue (Note 8)	2,658,492	-	409,786	3,068,278
Total liabilities	24,214,072	335,343	17,450,981	42,000,396
Fund Balances				
Nonspendable:				
Inventory	87,927	-	38,824	126,751
Prepaids	131,932	-	-	131,932
Restricted:				
Debt service	-	-	343,339	343,339
Capital projects	-	18,231,222	2,731,074	20,962,296
Food service	-	-	243,007	243,007
Committed:				
Community service	-	-	689,143	689,143
Student activities	-	-	2,153,131	2,153,131
Assigned:				
Subsequent year's budget	706,368	-	-	706,368
Capital maintenance	-	-	680,536	680,536
Unassigned	31,807,875	-	-	31,807,875
Total fund balances	32,734,102	18,231,222	6,879,054	57,844,378
Total liabilities and fund balances	**$ 56,948,174**	**$ 18,566,565**	**$ 24,330,035**	**$ 99,844,774**

See notes to basic financial statements.

Governmental Funds
Reconciliation of the Balance Sheet to the Statement of Net Position

June 30, 2021

Fund Balances Reported in Governmental Funds	$ 57,844,378
Amounts reported for governmental activities in the statement of net position are different because:	
Capital assets used in governmental activities are not financial resources and are not reported in the funds:	
Cost of capital assets	392,874,746
Accumulated depreciation	(193,697,815)
Net capital assets used in governmental activities	199,176,931
Deferred inflows and outflows related to bond refundings are not reported in the funds	517,860
Bonds payable, including bond premiums, are not due and payable in the current period and are not reported in the funds	(137,958,963)
Accrued interest is not due and payable in the current period and is not reported in the funds	(606,366)
Some employee fringe benefits are payable over a long period of years and do not represent a claim on current financial resources; therefore, they are not reported as fund liabilities:	
Employee compensated absences	(7,666,873)
Other termination benefits	(217,500)
Net pension liability and related deferred inflows and outflows	(239,733,328)
Net OPEB liability and related deferred inflows and outflows	(60,755,895)
Revenue in support of pension contributions made subsequent to the measurement date is reported as a deferred inflow of resources in the statement of net position and is not reported in the funds	(11,658,202)
Net Position (Deficit) of Governmental Activities	**$ (201,057,958)**

Governmental Funds
Statement of Revenue, Expenditures, and Changes in Fund Balances

Year Ended June 30, 2021

	General Fund	2019 Capital Projects Fund	Nonmajor Governmental Funds	Total Governmental Funds
Revenue				
Local sources	$ 40,975,969	$ 22,508	$ 24,119,322	$ 65,117,799
State sources	109,711,606	-	1,032,019	110,743,625
Federal sources	10,403,476	-	5,129,519	15,532,995
Interdistrict sources	10,098,231	-	-	10,098,231
Total revenue	171,189,282	22,508	30,280,860	201,492,650
Expenditures				
Current:				
Instruction	109,437,417	-	859,253	110,296,670
Support services	49,268,195	-	1,995,147	51,263,342
Athletics	1,593,596	-	-	1,593,596
Food services	-	-	2,355,746	2,355,746
Community services	606,808	-	2,793,935	3,400,743
Debt service:				
Principal	605,000	-	12,245,000	12,850,000
Interest	386,454	-	5,130,562	5,517,016
Other debt costs	300	-	280,808	281,108
Capital outlay	2,758,122	8,487,133	7,769,930	19,015,185
Total expenditures	164,655,892	8,487,133	33,430,381	206,573,406
Excess of Revenue Over (Under) Expenditures	6,533,390	(8,464,625)	(3,149,521)	(5,080,756)
Other Financing Sources (Uses)				
Face value of debt issued	-	-	40,425,000	40,425,000
Proceeds from sale of capital assets	9,401	-	-	9,401
Transfers in (Note 7)	181,601	-	1,665,790	1,847,391
Payment to bond refunding escrow agent	-	-	(41,571,042)	(41,571,042)
Transfers out (Note 7)	-	-	(1,847,391)	(1,847,391)
Total other financing sources (uses)	191,002	-	(1,327,643)	(1,136,641)
Net Change in Fund Balances	6,724,392	(8,464,625)	(4,477,164)	(6,217,397)
Fund Balances - Beginning of year	26,009,710	26,695,847	11,356,218	64,061,775
Fund Balances - End of year	**$ 32,734,102**	**$ 18,231,222**	**$ 6,879,054**	**$ 57,844,378**

Governmental Funds
Reconciliation of the Statement of Revenue, Expenditures, and Changes in Fund Balances to the Statement of Activities

Year Ended June 30, 2021

Net Change in Fund Balances Reported in Governmental Funds	$ (6,217,397)
Amounts reported for governmental activities in the statement of activities are different because:	
Governmental funds report capital outlays as expenditures; however, in the statement of activities, these costs are allocated over their estimated useful lives as depreciation:	
Capitalized capital outlay	11,868,193
Depreciation expense	(9,040,252)
Net book value of assets disposed of	(717,557)
Revenue in support of pension contributions made subsequent to the measurement date	(1,807,969)
Issuing debt, net of premiums, provides current financial resources to governmental funds but increases long-term liabilities in the statement of net position	(40,425,000)
Repayment of bond principal is an expenditure in the governmental funds but not in the statement of activities (where it reduces long-term debt); amortization of premium/discounts and inflows/outflows related to bond refundings are not expenses in the governmental funds	55,085,933
Interest expense is recognized in the government-wide statements as it accrues	318,276
Some employee costs (pension, OPEB, compensated absences, and other termination benefits) do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds	(13,962,531)
Change in Net Position of Governmental Activities	**$ (4,898,304)**

Statement of Fiduciary Net Position

June 30, 2021

	Custodial Funds
Assets - Cash and cash equivalents (Note 4)	$ 109,854
Liabilities - Accounts payable	2,057
Net Position - Restricted	**$ 107,797**

See notes to basic financial statements.

Statement of Changes in Fiduciary Net Position

Year Ended June 30, 2021

	Custodial Funds
Additions - Fundraising and contributions	$ 127,342
Deductions - Disbursements for scholarships and other activities	133,591
Net Decrease in Fiduciary Net Position	(6,249)
Net Position - Beginning of year	114,046
Net Position - End of year	**$ 107,797**

Note 1 - Nature of Business

Troy School District (the "School District") is a school district in the state of Michigan that provides educational services to students.

Note 2 - Significant Accounting Policies

Accounting and Reporting Principles

The School District follows accounting principles generally accepted in the United States of America (GAAP), as applicable to governmental units. Accounting and financial reporting pronouncements are promulgated by the Governmental Accounting Standards Board. The following is a summary of the significant accounting policies used by the School District:

Reporting Entity

The School District is governed by an elected seven-member Board of Education. The accompanying financial statements have been prepared in accordance with criteria established by the Governmental Accounting Standards Board for determining the various governmental organizations to be included in the reporting entity. These criteria include significant operational financial relationships that determine which of the governmental organizations are a part of the School District's reporting entity and which organizations are legally separate component units of the School District. Based on the application of the criteria, the School District does not contain any component units.

Report Presentation

Governmental accounting principles require that financial reports include two different perspectives - the government-wide perspective and the fund-based perspective. The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all of the nonfiduciary activities of the primary government and its component units, as applicable. The government-wide financial statements are presented on the economic resources measurement focus and the full accrual basis of accounting. Property taxes are recognized as revenue in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met. The statements also present a schedule reconciling these amounts to the modified accrual-based presentation found in the fund-based statements.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenue. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenue includes: (1) charges to customers or applicants for goods, services, or privileges provided; (2) operating grants and contributions; and (3) capital grants and contributions, including special assessments. Taxes, unrestricted intergovernmental receipts, and other items not properly included among program revenue are reported instead as general revenue.

As a general rule, the effect of interfund activity has been removed from the government-wide financial statements.

Separate financial statements are provided for governmental funds and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds, if any, are reported as separate columns in the fund financial statements.

Note 2 - Significant Accounting Policies (Continued)

Fund Accounting

The School District accounts for its various activities in several different funds in order to demonstrate accountability for how it spends certain resources; separate funds allow the School District to show the particular expenditures for which specific revenue is used. The various funds are aggregated into three broad fund types:

Governmental Funds

Governmental funds include all activities that provide general governmental services that are not business-type activities. Governmental funds can include the General Fund, special revenue funds, debt service funds, capital project funds, and permanent funds. The School District reports the following funds as major governmental funds:

- The General Fund is the primary operating fund because it accounts for all financial resources used to provide government services other than those specifically assigned to another fund.
- The 2019 Capital Projects Fund is used to record bond proceeds or other revenue and disbursement of invoices specifically designated for the purpose of remodeling, equipping, reequipping, furnishing, and refurnishing school buildings and other facilities to enhance security and for other purposes; acquiring and installing technology infrastructure and equipment in school buildings and other facilities; constructing additions to school buildings; preparing, developing, and improving school and other facility sites; the purchase of buses; and paying the costs of issuing the bonds. The fund operates until the purpose for which it was created is accomplished.

Additionally, the School District reports the following nonmajor governmental fund types:

- Special revenue funds are used to account for the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes. The School District's special revenue funds are the Food Service Fund, Troy Career Center Fund, Facility Rentals Fund, Community Service Fund, Troy School District Preschool Fund, and Troy School and Student Activities Fund. Any operating deficit generated by these activities is the responsibility of the General Fund.
  - The Food Service Fund accounts for the moneys generated from the School District's food service program. Revenue sources for the Food Service Fund include sales to customers and dedicated grants from state and federal sources.
  - The Troy Career Center Fund accounts for the moneys originating from the School District's operations of the Troy Career Center. Revenue sources for the Troy Career Center Fund include dedicated grants from state and federal sources.
  - The Facility Rental Fund accounts for the moneys generated from the School District's rental of various facilities. Revenue sources for the Facility Rentals Fund consist of charges for the rental of various facilities.
  - The Community Service Fund accounts for the moneys generated from fees from service programs offered by the School District, including community recreation, and C.A.R.E. Revenue sources for the Community Service Fund primarily consist of fees charged to users.
  - The Troy School District Preschool Fund accounts for all the moneys originating from the operation of the Troy School District Preschool program. Revenue sources for the Troy School District Preschool Fund consist of tuition and fees charged to users.

Note 2 - Significant Accounting Policies (Continued)

- The Troy School and Student Activities Fund accounts for the transactions of student groups for school and school-related purposes. Revenue sources for the Troy School and Student Activities Fund include fundraising revenue and donations earned and received by student groups.

- Capital projects funds are used to record bond proceeds or other revenue and for the disbursement of invoices specifically designated for acquiring new school sites, buildings, and equipment; technology upgrades; and remodeling and repairs. The funds operate until the purpose for which they were created is accomplished. The School District's capital project funds include the 2020 Capital Projects Fund, 2016 Capital Projects Fund, Early Childhood Learning Center Capital Projects Fund, and Capital Maintenance Fund. The Sinking Fund, also a capital project fund, is used to record related tax revenue and the disbursement of invoices specifically designated for approved Sinking Fund projects. The fund operates until the purpose for which it was created is accomplished. The purpose for which the 2020 Capital Projects Fund, 2016 Capital Projects Fund, and Early Childhood Learning Center Capital Projects Fund were created was accomplished in the current year, and the remaining funds were closed out.

- Debt service funds are used to record tax, interest, and other revenue for payment of interest, principal, and other expenditures on long-term debt. The School District currently has seven debt service funds: the 2012 Refunding Debt Fund, 2014 Debt Fund, 2015 Refunding Debt Fund, 2016 Debt Fund, 2019 Debt Fund, 2021 Refunding Series A Debt Fund, and 2021 Refunding Series B Debt Fund.

Fiduciary Funds

Fiduciary funds include amounts held in a fiduciary capacity for others. These amounts are not used to operate the School District's programs. All of the School District's fiduciary activities are reported in the separate statement of fiduciary net position and statement of changes in fiduciary net position.

Interfund Activity

During the course of operations, the School District has activity between funds for various purposes. Any residual balances outstanding at year end are reported as due from/to other funds and advances to/from other funds. While these balances are reported in fund financial statements, certain eliminations are made in the preparation of the government-wide financial statements. Balances between the funds included in governmental activities (i.e., the governmental and internal service funds) are eliminated so that only the net amount is included as internal balances in the governmental activities column.

Furthermore, certain activity occurs during the year involving transfers of resources between funds. In fund financial statements, these amounts are reported at gross amounts as transfers in/out. While reported in fund financial statements, certain eliminations are made in the preparation of the government-wide financial statements. Transfers between the funds included in governmental activities are eliminated so that only the net amount is included as transfers in the governmental activities column.

Basis of Accounting

The governmental funds use the current financial resources measurement focus and the modified accrual basis of accounting. This basis of accounting is intended to better demonstrate accountability for how the School District has spent its resources.

Expenditures are reported when the goods are received or the services are rendered. Capital outlays are reported as expenditures (rather than as capital assets) because they reduce the ability to spend resources in the future; conversely, employee benefit costs that will be funded in the future (such as pension and retiree health care-related costs or sick and vacation pay) are not counted until they come due for payment. In addition, debt service expenditures, claims, and judgments are recorded only when payment is due.

Note 2 - Significant Accounting Policies (Continued)

Revenue is not recognized until it is collected or collected soon enough after the end of the year that it is available to pay for obligations outstanding at the end of the year. For this purpose, the School District considers amounts collected within 60 days of year end to be available for recognition. Revenue not meeting this definition is classified as a deferred inflow of resources.

The custodial funds use the economic resources measurement focus and the full accrual basis of accounting. Revenue is recorded when earned, and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows.

Specific Balances and Transactions

Cash and Investments

Cash and cash equivalents include cash on hand, demand deposits, and short-term investments with a maturity of three months or less when acquired. Investments are stated at fair value except for investments in MILAF external investment pools, which are valued at amortized cost.

Inventories and Prepaid Items

Inventories are valued at cost, on a first-in, first-out basis. Inventories are recorded as expenditures when purchased. Certain payments to vendors reflect costs applicable to future fiscal years and are recorded as prepaid items in both government-wide and fund financial statements, when applicable. The School District uses the consumption method to report prepaid costs in governmental funds.

Restricted Assets

The following amounts are reported as restricted assets:

- Unspent bond proceeds and related interest of the bonded capital projects funds required to be set aside for construction or other allowable bond purchases
- Unspent property taxes levied held in the debt service funds required to be set aside for future bond principal and interest payments
- Unspent property taxes levied and held in the Sinking Fund required to be set aside for construction or allowable purchases

Capital Assets

Capital assets, which include land, buildings, equipment, furniture, buses, and other vehicles, are reported in the applicable governmental activities column in the government-wide financial statements. Capital assets are defined by the School District as assets with an initial individual cost of more than $5,000 and an estimated useful life in excess of one year. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated acquisition value at the date of donation. Costs of normal repair and maintenance that do not add to the value or materially extend the life of the asset are not capitalized. The School District does not have infrastructure-type assets.

Capital assets are depreciated using the straight-line method over the following useful lives:

	Depreciable Life - Years
Buildings and building additions	20 to 50
Equipment and furniture	5 to 10
Buses and other vehicles	5 to 10

Note 2 - Significant Accounting Policies (Continued)

Long-term Obligations

In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs are expensed at the time they are incurred. In the fund financial statements, governmental fund types recognize bond issuances and premiums as other financing sources and bond discounts as other financing uses. The General Fund and debt service funds are generally used to liquidate governmental long-term debt.

Deferred Outflows/Inflows of Resources

In addition to assets, the statement of net position and/or balance sheet will sometimes report a separate section for deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to future periods and will not be recognized as an outflow of resources (expense/expenditure) until then.

The School District reports deferred outflows related to deferred pension costs, OPEB costs, and deferred charges related to bond refundings.

In addition to liabilities, the statement of net position and/or balance sheet will sometimes report a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to future periods and will not be recognized as an inflow of resources (revenue) until that time.

The School District reports deferred inflows related to revenue in support of pension contributions made subsequent to the measurement date and deferred pension and OPEB plan cost reductions.

Net Position

Net position of the School District is classified in three components. Net investment in capital assets consists of capital assets net of accumulated depreciation and is reduced by the current balances of any outstanding borrowings used to finance the purchase or construction of those assets. The restricted component of net position consists of restricted assets reduced by liabilities and deferred inflows of resources related to those assets. Unrestricted net position is the remaining net position that does not meet the definition of invested in capital or restricted.

Net Position Flow Assumption

The School District will sometimes fund outlays for a particular purpose from both restricted and unrestricted resources. In order to calculate the amounts to report as restricted net position and unrestricted net position in the government-wide financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the School District's policy to consider restricted net position to have been depleted before unrestricted net position is applied.

Fund Balance Flow Assumptions

The School District will sometimes fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned, and unassigned fund balance). In order to calculate the amounts to report as restricted, committed, assigned, and unassigned fund balance in the governmental fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the School District's policy to consider restricted fund balance to have been depleted before using any of the components of unrestricted fund balance. Furthermore, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

Note 2 - Significant Accounting Policies (Continued)

Fund Balance Policies

Fund balance of governmental funds is reported in various categories based on the nature of any limitations requiring the use of resources for specific purposes. The nonspendable fund balance component represents amounts that are not in spendable form or are legally or contractually required to be maintained intact. Restricted fund balance represents amounts that are legally restricted by outside parties, constitutional provisions, or enabling legislation for use for a specific purpose. The School District itself can establish limitations on the use of resources through either a commitment (committed fund balance) or an assignment (assigned fund balance).

The committed fund balance classification includes amounts that can be used only for the specific purposes determined by a formal action of the School District's highest level of decision-making authority. The Board of Education is the highest level of decision-making authority for the School District that can, by passing a resolution prior to the end of the fiscal year, commit fund balance. Once passed, the limitation imposed by the resolution remains in place until a similar action is taken (the passing of another resolution) to remove or revise the limitation.

Amounts in the assigned fund balance classification are intended to be used by the government for specific purposes but do not meet the criteria to be classified as committed. The School District has, by resolution, authorized the superintendent to assign fund balance. The Board of Education may also assign fund balance as it does when appropriating fund balance to cover a gap between estimated revenue and appropriations in the subsequent year's appropriated budget. Unlike commitments, assignments generally only exist temporarily. In other words, an additional action does not normally have to be taken for the removal of an assignment. Conversely, as discussed above, an additional action is essential to either remove or revise a commitment.

The fund balance policy prescribes the minimum fund balance as 15 percent in the General Fund. This is deemed to be the prudent amount to maintain the School District's ability to meet obligations as they come due throughout the year.

Property Tax Revenue

Properties are assessed as of July 1, and the related property taxes become a lien on the first day of the levy year and are due on or before September 14 or February 14. Tax collections are forwarded to the School District as collected by the assessing municipalities through March 1, at which time they are considered delinquent and added to county tax rolls. Any delinquent taxes collected by the county are remitted to the School District by May 15. The School District considers all receivables to be fully collectible; accordingly, no allowance for uncollectible amounts is recorded.

Grants and Contributions

The School District receives federal, state, and local grants, as well as contributions from individuals and private organizations. Revenue from grants and contributions (including contributions of capital assets) is recognized when all eligibility requirements, including time requirements, are met. Grants and contributions may be restricted for either specific operating purposes or for capital purposes. Amounts that are unrestricted or that are restricted to a specific operating purpose are reported as nonoperating revenue. Amounts restricted to capital acquisitions are reported after nonoperating revenue and expenses.

Note 2 - Significant Accounting Policies (Continued)

Pension and Other Postemployment Benefit (OPEB) Plans

For the purpose of measuring the net pension liability and net OPEB liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension and OPEB expense, information about the fiduciary net position of the Michigan Public School Employees' Retirement System (MPSERS) and additions to/deductions from the MPSERS fiduciary net position have been determined on the same basis as they are reported by MPSERS. MPSERS uses the economic resources measurement focus and the full accrual basis of accounting. Contribution revenue is recorded as contributions are due, pursuant to legal requirements. Benefit payments (including refunds of employee contributions) are recognized as expenses when due and payable in accordance with the plan benefit terms. Related plan investments are reported at fair value.

Compensated Absences (Vacation and Sick Leave) and Other Termination Benefits

It is the School District's policy to permit employees to accumulate earned but unused sick and vacation pay benefits and severance benefit obligations for certain employees. Sick pay is accrued for the estimated amount that the School District will pay upon employment termination; vacation pay and severance benefit obligations are accrued when incurred. These obligations are reported in the government-wide financial statements. A liability for these amounts is reported in governmental funds only for employee terminations as of year end. Generally, the funds that report each employee's compensation are used to liquidate the obligations.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the period. Actual results could differ from those estimates.

Upcoming Accounting Pronouncements

In June 2017, the Governmental Accounting Standards Board issued Statement No. 87, *Leases*, which improves accounting and financial reporting for leases by governments. This statement requires recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources. The School District is currently evaluating the impact this standard will have on the financial statements when adopted. The provisions of this statement were originally effective for the School District's financial statements for the year ended June 30, 2020 but were extended to June 30, 2022 with the issuance of GASB Statement No. 95, *Postponement of the Effective Date of Certain Authoritative Guidance*.

In January 2020, the GASB issued Statement No. 92, *Omnibus 2020*. This statement addresses eight unrelated practice issues and technical inconsistencies in authoritative literature. The standard addresses leases, intraentity transfers of assets, postemployment benefits, government acquisitions, risk financing and insurance-related activities of public entity risk pools, fair value measurements, and derivative instruments. The standard has various effective dates. The School District does not believe this pronouncement will have a significant impact on its financial statements but is still making a full evaluation.

Note 2 - Significant Accounting Policies (Continued)

Subsequent Events

The financial statements and related disclosures include evaluation of events up through and including October 5, 2021, which is the date the financial statements were available to be issued.

Note 3 - Stewardship, Compliance, and Accountability

Budgetary Information

Annual budgets are adopted on a basis consistent with generally accepted accounting principles and state law for the General Fund, all special revenue funds, capital projects funds, and debt service funds. All annual appropriations lapse at fiscal year end. The budget document presents information by fund and function. The legal level of budgetary control adopted by the governing body (i.e., the level at which expenditures may not legally exceed appropriations) is the function level. State law requires the School District to have its budget in place by July 1. Expenditures in excess of amounts budgeted are a violation of Michigan law. State law permits districts to amend their budgets during the year. During the year, the budget was amended in a legally permissible manner. There were no significant amendments during the year.

Encumbrance accounting is employed in governmental funds. Encumbrances (e.g., purchase orders and contracts) outstanding at year end are reported as restrictions, commitments, or assignments of fund balances and do not constitute expenditures or liabilities because the goods or services have not been received as of year end; the commitments will be reappropriated and honored during the subsequent year.

Excess of Expenditures Over Appropriations in Budgeted Funds

The School District did not have significant expenditure budget variances.

Capital Projects Fund Compliance

The capital projects funds include the 2016 Capital Projects Fund, 2019 Capital Projects Fund, 2020 Capital Projects Fund, and Early Childhood Learning Center Capital Projects Fund. Capital project activities are funded with bonds issued after May 1, 1994. For these capital projects, the School District has complied with the applicable provisions of §1351a of the State of Michigan's School Code.

The Capital Maintenance Fund is financed by support of the General Fund and is used for tracking capital maintenance expenditures.

The Sinking Fund records capital project activities funded with Sinking Fund millage. For this fund, authorized prior to March 29, 2017, the School District has complied with the applicable provisions of §1212 of the State of Michigan Revised School Code.

Beginning with the year of bond issuance for each fund, the School District has reported the annual construction activity in the 2016 Capital Projects Fund, the Early Childhood Learning Center Capital Projects Fund, and the 2020 Capital Projects Fund. The projects for which the bonds were issued was considered complete by June 30, 2021.

Note 4 - Deposits and Investments

State statutes and the School District's investment policy authorize the School District to make deposits in the accounts of federally insured banks, credit unions, and savings and loan associations that have offices in Michigan. The School District is allowed to invest in U.S. Treasury or agency obligations, U.S. government repurchase agreements, bankers' acceptances, certificates of deposit, commercial paper rated prime at the time of purchase that matures no more than 270 days after the date of purchase, mutual funds, and investment pools that are composed of authorized investment vehicles. The School District's deposits are in accordance with statutory authority.

The School District has designated 11 financial institutions and utilized 2 for the deposit of its funds.

Note 4 - Deposits and Investments (Continued)

There are no limitations or restrictions on participant withdrawals for the investment pools that are recorded at amortized cost, except for a 1-day minimum investment period on MILAF Cash Management funds and a 14-day redemption limitation on MILAF MAX Class funds. Redemptions made prior to the applicable 14-day period are subject to a penalty equal to 15 day's interest on the amount so redeemed.

The School District's cash and investments are subject to several types of risk, which are examined in more detail below:

Custodial Credit Risk of Bank Deposits

Custodial credit risk is the risk that, in the event of a bank failure, the School District's deposits may not be returned to it. The School District does not have a deposit policy for custodial credit risk. At year end, the School District had $41,756,072 of bank deposits (certificates of deposit and checking and savings accounts) that were uninsured and uncollateralized. The School District believes that, due to the dollar amounts of cash deposits and the limits of FDIC insurance, it is impractical to insure all deposits. As a result, the School District evaluates each financial institution with which it deposits funds and assesses the level of risk of each institution; only those institutions with an acceptable estimated risk level are used as depositories.

Custodial Credit Risk of Investments

Custodial credit risk is the risk that, in the event of the failure of the counterparty, the School District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The School District does not have a policy for custodial credit risk. At June 30, 2021, the School District does not have investments with custodial credit risk.

Interest Rate Risk

Interest rate risk is the risk that the value of investments will decrease as a result of a rise in interest rates. The School District's investment policy does not restrict investment maturities other than commercial paper, which can only be purchased with a 270-day maturity.

Credit Risk

State law limits investments in commercial paper to the top two ratings issued by nationally recognized statistical rating organizations. The School District has no investment policy that would further limit its investment choices. As of June 30, 2021, the credit quality ratings of debt securities (other than the U.S. government) are as follows:

Investment	Carrying Value	Rating	Rating Organization
Primary Government			
Michigan Liquid Asset Fund Cash Management Money Market Fund	$ 1,219,400	AAAm	S&P
Michigan Liquid Asset Fund MAX Class Money Market	18,258,271	AAAm	S&P
Total	$ 19,477,671		

Concentration of Credit Risk

The School District places no limit on the amount it may invest in any one issuer.

Note 4 - Deposits and Investments (Continued)

Foreign Currency Risk

Foreign currency risk is the risk that an investment denominated in the currency of a foreign country could reduce its U.S. dollar value as a result of changes in foreign currency exchange rates. State law and the School District's investment policy prohibit investments in foreign currency.

Note 5 - Restricted Assets

At June 30, 2021, restricted assets are composed of the following:

Description	Governmental Activities
Unspent bond proceeds and related interest	$ 19,533,470
Unspent sinking fund property taxes levied	3,111,811
Unspent debt service property taxes levied	13,745,917
Total	$ 36,391,198

Note 6 - Capital Assets

Capital asset activity of the School District's governmental activities was as follows:

	Balance July 1, 2020	Reclassifications	Additions	Disposals and Adjustments	Balance June 30, 2021
Capital assets not being depreciated:					
Land	$ 2,086,043	$ -	$ -	$ -	$ 2,086,043
Construction in progress	6,630,064	(6,433,259)	1,078,851	(196,805)	1,078,851
Subtotal	8,716,107	(6,433,259)	1,078,851	(196,805)	3,164,894
Capital assets being depreciated:					
Buildings and improvements	326,709,253	6,433,259	8,265,271	(2,368,731)	339,039,052
Furniture and equipment	49,085,529	-	2,524,071	(938,800)	50,670,800
Subtotal	375,794,782	6,433,259	10,789,342	(3,307,531)	389,709,852
Accumulated depreciation:					
Buildings and improvements	142,374,481	-	7,853,963	(1,869,014)	148,359,430
Furniture and equipment	45,069,861	-	1,186,289	(917,765)	45,338,385
Subtotal	187,444,342	-	9,040,252	(2,786,779)	193,697,815
Net capital assets being depreciated	188,350,440	6,433,259	1,749,090	(520,752)	196,012,037
Net governmental activities capital assets	$ 197,066,547	$ -	$ 2,827,941	$ (717,557)	$ 199,176,931

Depreciation expense was charged to programs of the primary government as follows:

Governmental activities:	
Instruction	$ 265,662
Support services	6,088,627
Community services	2,636,613
Food services	48,017
Athletics	1,333
Total governmental activities	$ 9,040,252

Note 6 - Capital Assets (Continued)

Construction Commitments

The School District has active construction projects at year end. At year end, the School District's commitments with contractors are as follows:

	Spent to Date	Remaining Commitment
Sinking Fund	$ 686,281	$ 1,018,395
Other projects	280,970	1,779,974
Total	$ 967,251	$ 2,798,369

Note 7 - Interfund Receivables, Payables, and Transfers

The composition of interfund balances is as follows:

Fund Due To	Fund Due From Nonmajor Funds
General Fund	$ 15,294,052
2019 Capital Projects Fund	196,769
Nonmajor funds	277,738
Total	$ 15,768,559

Interfund balances result from the time lag between the dates that goods and services are provided or reimbursable expenditures occur, transactions are recorded in the accounting system, and payments between funds are made. Interfund balances at June 30, 2021 consist of the following:

- The debt service funds have amounts due to the General Fund for the May bond principal and interest payments, which were initially paid by the General Fund. The General Fund was reimbursed by the respective debt service funds subsequent to June 30, 2021.
- The 2016 Capital Projects Fund has an amount due to the 2019 Capital Projects Fund to transfer the remaining cash balance in the fund upon the close out of the 2016 Capital Projects Fund. The 2016 Capital Projects Fund and the 2019 Capital Projects Fund were created from the proceeds of two separate issues of the 2013 bond.
- The interfund balances between the nonmajor governmental funds are from the time lag between the dates that goods and services are provided or reimbursable expenditures occur, transactions are recorded in the accounting system, and payments between funds are made.

Interfund Transfers

Transfers from the 2012 Refunding Debt Fund to the 2021 Refunding Series A Debt Fund were due to the bond refunding in the current year, which is described further in Note 9. Transfers from the 2020 Capital Projects Fund to the General Fund were made to close out excess fund balance upon completion of the Troy Learning Center project to pay principal on the 2020 bond associated with the project. Transfers from the Early Childhood Learning Center Capital Projects Fund to the Troy School District Preschool Fund were made to close out the remaining fund balance after the completion of the construction of the Early Childhood Learning Center to support future capital enhancements for the preschool program, as it operates out of the Early Childhood Learning Center building.

Note 8 - Unavailable/Unearned Revenue

Governmental funds report unavailable revenue in connection with receivables for revenue that is not considered to be available to liquidate liabilities of the current period. Governmental funds also report unearned revenue recognition in connection with resources that have been received but not yet earned.

At June 30, 2021, the various components of unearned and unavailable revenue were as follows:

	Governmental Funds
	Liability - Unearned
Student lunch accounts	$ 198,128
Tuition/Fees received in advance	429,407
Categorical aid payment received prior to meeting all eligibility requirements	2,440,743
Total	$ 3,068,278

Note 9 - Long-term Debt

Long-term debt activity for the year ended June 30, 2021 can be summarized as follows:

	Beginning Balance	Additions	Reductions	Ending Balance	Due within One Year
Bonds payable:					
General obligation bonds	$ 140,565,000	$ 40,425,000	$ (50,710,000)	$ 130,280,000	$ 14,115,000
Unamortized bond premiums	12,429,510	-	(4,750,547)	7,678,963	708,119
Total bonds payable	152,994,510	40,425,000	(55,460,547)	137,958,963	14,823,119
Compensated absences	7,575,513	757,621	(666,261)	7,666,873	758,000
Other termination benefits	155,000	62,500	-	217,500	7,500
Total governmental activities long-term debt	$ 160,725,023	$ 41,245,121	$ (56,126,808)	$ 145,843,336	$ 15,588,619

The School District had deferred outflows of $517,860 related to deferred charges on bond refundings at June 30, 2021.

Note 9 - Long-term Debt (Continued)

General Obligation Bonds and Contracts

The School District issues general obligation bonds to provide for the acquisition and construction of major capital facilities. General obligations have been issued for governmental activities. General obligation bonds are direct obligations and pledge the full faith and credit of the School District. The primary source of any required repayment is from the School District's property tax levy. General obligations outstanding at June 30, 2021 are as follows:

Purpose	Remaining Annual Installments	Interest Rates	Maturing	Outstanding
$43,580,000 refunding bond - 2012	$4,160,000	1.89%	May 1, 2022	$ 4,160,000
$52,710,000 general obligation bond - 2014	$2,000,000	4.00-5.00%	May 1, 2023	4,000,000
$31,930,000 refunding bond - 2015	$3,210,000 - $3,270,000	5.00%	May 1, 2026	16,200,000
$40,000,000 general obligation bond - 2016	$1,100,000 - $4,650,000	2.94%-4.50%	May 1, 2032	32,900,000
$7,125,000 general obligation bond - 2018	$260,000 - $485,000	3.00%-3.75%	May 1, 2040	6,870,000
$22,630,000 general obligation bond - 2019	$800,000 - $2,525,000	4.00-5.00%	May 1, 2034	19,975,000
$6,100,000 general obligation bond - 2020	$360,000 - $460,000	2.00%	May 1, 2035	5,750,000
$7,110,000 refunding bond - 2021	$2,165,000 - $4,945,000	0.20%-0.30%	May 1, 2023	7,110,000
$33,315,000 refunding bond - 2021	$0 - $6,790,000	0.30%-1.56%	May 1, 2028	33,315,000
Total governmental activities				$ 130,280,000

Other Long-term Liabilities

Compensated absences and other termination benefits attributable to the governmental activities will be liquidated primarily by the General Fund. The liability for compensated absences and other termination benefits reported in the government-wide statements consists of earned but unused accumulated vacation, sick leave, and severance obligations. A liability for these amounts is reported in governmental funds as it comes due for payment. The liability has been calculated using the vesting method in which leave amounts for both employees who are currently eligible to receive termination payments and other employees who are expected to become eligible in the future to receive such payments upon termination are included.

Note 9 - Long-term Debt (Continued)

Debt Service Requirements to Maturity

Annual debt service requirements to maturity for the above bonds and note obligations are as follows:

	Governmental Activities		
	General Obligation Bonds		
Years Ending June 30	Principal	Interest	Total
2022	$ 14,115,000	$ 3,694,407	$ 17,809,407
2023	15,965,000	3,316,825	19,281,825
2024	11,980,000	2,937,771	14,917,771
2025	12,015,000	2,650,492	14,665,492
2026	12,295,000	2,339,714	14,634,714
Thereafter	63,910,000	10,406,794	74,316,794
Total	$ 130,280,000	$ 25,346,003	$ 155,626,003

Advance Bond Refunding

During the year, the School District issued $40,425,000 in general obligation bonds ($7.1 million through 2021 Refunding Bonds, and $33.3 million through Series A and 2021 Refunding Bonds, Series B) with interest rates ranging from 0.20 to 1.56 percent. The proceeds of these bonds were used to advance refund $37,860,000 million of outstanding bonds (2012 Debt Service and 2014 Debt Service) with interest rates ranging from 1.89 to 5.00 percent. The net proceeds of these bonds (after payment of $278,958 in underwriting fees, insurance, and other issuance costs) plus an additional $1,425,000 of debt fund moneys were used to purchase U.S. government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the original bonds. As a result, the bonds are considered to be defeased, and the liability for the bonds has been removed from long-term debt. The advance refunding reduced total debt service payments over the next seven years by approximately $4,064,000, which represents an economic gain of approximately $2,559,000.

Note 10 - Risk Management

The School District is exposed to various risks of loss related to property loss, torts, errors and omissions, and employee injuries (workers' compensation), as well as medical benefits provided to employees. The School District has purchased commercial insurance for property, general liability, employee medical, and workers' compensation claims. The School District participates in the SET-SEG shared risk program for claims relating to property and general liability. Settled claims relating to the commercial insurance have not exceeded the amount of insurance coverage in any of the past three fiscal years.

The shared-risk pool program in which the School District participates operates as a common risk-sharing management program for school districts in Michigan; member premiums are used to purchase commercial excess insurance coverage and to pay member claims in excess of deductible amounts.

Note 11 - Michigan Public School Employees' Retirement System

Plan Description

The School District participates in the Michigan Public School Employees' Retirement System (the "System"), a statewide, cost-sharing, multiple-employer defined benefit public employee retirement system governed by the State of Michigan that covers substantially all employees of the School District. Certain school district employees also receive defined contribution retirement and health care benefits through the System. The System provides retirement, survivor, and disability benefits to plan members and their beneficiaries. The System also provides postemployment health care benefits to retirees and beneficiaries who elect to receive those benefits.

Note 11 - Michigan Public School Employees' Retirement System (Continued)

The System is administered by the Office of Retirement Services (ORS). The Michigan Public School Employees' Retirement System issues a publicly available financial report that includes financial statements and required supplemental information for the pension and postemployment health care plans. That report is available on the web at http://www.michigan.gov/orsschools.

Benefits Provided

Benefit provisions of the defined benefit (DB) pension plan and the postemployment health care plan are established by state statute, which may be amended. Public Act 300 of 1980, as amended, establishes eligibility and benefit provisions for the defined benefit pension plan and the postemployment health care plan.

Depending on the plan option selected, member retirement benefits are calculated as final average compensation times years of services times a pension factor ranging from 1.25 percent to 1.50 percent. The requirements to retire range from attaining the age of 46 to 60 with years of service ranging from 5 to 30 years, depending on when the employee became a member. Early retirement is computed in the same manner as a regular pension but is permanently reduced 0.50 percent for each full and partial month between the pension effective date and the date the member will attain age 60. There is no mandatory retirement age.

Depending on the member's date of hire, MPSERS offers the option of participating in the defined contribution (DC) plan that provides a 50 percent employer match (up to 3 percent of salary) on employee contributions.

Members are eligible for nonduty disability benefits after 10 years of service and for duty-related disability benefits upon hire. Disability retirement benefits are determined in the same manner as retirement benefits but are payable immediately without an actuarial reduction. The disability benefits plus authorized outside earnings are limited to 100 percent of the participant's final average compensation, with an increase of 2 percent each year thereafter.

Benefits may transfer to a beneficiary upon death and are determined in the same manner as retirement benefits but with an actuarial reduction.

Benefit terms provide for annual cost of living adjustments to each employee's retirement allowance subsequent to the employee's retirement date. The annual adjustment, if applicable, is 3 percent. Some members who do not receive an annual increase are eligible to receive a supplemental payment in those years when investment earnings exceed actuarial assumptions.

MPSERS provides medical, prescription drug, dental, and vision coverage for retirees and beneficiaries. A subsidized portion of the premium is paid by MPSERS, with the balance deducted from the monthly pension of each retiree health care recipient. Depending on the member's date of hire, this subsidized portion ranges from 80 percent to the maximum allowed by the statute.

Contributions

Public Act 300 of 1980, as amended, required the School District to contribute amounts necessary to finance the coverage of pension benefits of active and retired members. Contribution provisions are specified by state statute and may be amended only by action of the state Legislature. Under these provisions, each school district's contribution is expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance a portion of the unfunded accrued liability.

Under the OPEB plan, retirees electing this coverage contribute an amount equivalent to the monthly cost for Part B Medicare and 10 percent, or 20 percent for those not Medicare eligible, of the monthly premium amount for the health, dental, and vision coverage at the time of receiving the benefits. The MPSERS board of trustees annually sets the employer contribution rate to fund the benefits. Participating employers are required to contribute at that rate.

Note 11 - Michigan Public School Employees' Retirement System (Continued)

Under Public Act 300 of 2012, members were given the choice between continuing the 3 percent contribution to the retiree health care and keeping the premium subsidy benefit described above or choosing not to pay the 3 percent contribution and, instead, opting out of the subsidy benefit and becoming a participant in the Personal Healthcare Fund (PHF), a portable tax-deferred fund that can be used to pay health care expenses in retirement. Participants in the PHF are automatically enrolled in a 2 percent employee contribution into their 457 account as of their transition date, earning them a 2 percent employer match into a 401(k) account. Members who selected this option stopped paying the 3 percent contribution to retiree health care as of the day before their transition date, and their prior contributions were deposited into their 401(k) account.

The School District's contributions are determined based on employee elections. There are multiple different pension and health care benefit options included in the plan available to employees based on date of hire and the elections available at that time. Contribution rates are adjusted annually by the ORS.

The ranges of rates are as follows:

	Pension	OPEB
October 1, 2019 - September 30, 2020	13.39% - 19.59%	7.57% - 8.09%
October 1, 2020 - September 30, 2021	13.39% - 19.78%	7.57% - 8.43%

Depending on the plan selected, member pension contributions range from 0 percent up to 7.0 percent of gross wages. For certain plan members, a 4 percent employer contribution to the defined contribution pension plan is required. In addition, for certain plan members, a 3 percent employer match is provided to the defined contribution pension plan.

The School District's required and actual pension contributions to the plan for the year ended June 30, 2021 were $27,611,786, which include the School District's contributions required for those members with a defined contribution benefit. The School District's required and actual pension contributions include an allocation of $11,658,202 in revenue received from the State of Michigan and remitted to the System to fund the MPSERS unfunded actuarial accrued liability (UAAL) stabilization rate for the year ended June 30, 2021.

The School District's required and actual OPEB contributions to the plan for the year ended June 30, 2021 were $6,980,805, which include the School District's contributions required for those members with a defined contribution benefit.

Net Pension Liability

At June 30, 2021, the School District reported a liability of $308,094,061 for its proportionate share of the net pension liability. The net pension liability was measured as of September 30, 2020, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of September 30, 2019, which used update procedures to roll forward the estimated liability to September 30, 2020. The School District's proportion of the net pension liability was based on a projection of its long-term share of contributions to the pension plan relative to the projected contributions of all participating reporting units, actuarially determined. At September 30, 2020 and 2019, the School District's proportion was 0.90 and 0.88 percent, respectively, representing a change of 1.82 percent.

Note 11 - Michigan Public School Employees' Retirement System (Continued)

Net OPEB Liability

At June 30, 2021, the School District reported a liability of $48,088,931 for its proportionate share of the net OPEB liability. The net OPEB liability for fiscal year 2021 was measured as of September 30, 2020, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of September 30, 2019, which used update procedures to roll forward the estimated liability to September 30, 2020. The School District's proportion of the net OPEB liability was based on a projection of its long-term share of contributions to the OPEB plan relative to the projected contributions of all participating reporting units, actuarially determined. At September 30, 2020 and 2019, the School District's proportion was 0.90 and 0.89 percent, respectively, representing a change of 0.30 percent.

Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

For 2021, the School District recognized pension expense of $47,852,726, inclusive of payments to fund the MPSERS UAAL stabilization rate. At June 30, 2021, the School District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	$ 4,707,424	$ (657,582)
Changes in assumptions	34,139,792	-
Net difference between projected and actual earnings on pension plan investments	1,294,473	-
Changes in proportion and differences between the School District's contributions and proportionate share of contributions	5,945,888	(398,894)
The School District's contributions to the plan subsequent to the measurement date	23,329,632	-
Total	$ 69,417,209	$ (1,056,476)

The $11,658,202 reported as deferred inflows of resources resulting from the pension portion of state aid payments received pursuant to the UAAL payment will be recognized as state appropriations revenue for the year ending June 30, 2022. Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Years Ending	Amount
2022	$ 20,105,911
2023	14,324,095
2024	8,045,316
2025	2,555,779
Total	$ 45,031,101

In addition, the contributions subsequent to the measurement date will be included as a reduction of the net pension liability in the next year.

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2021, the School District recognized OPEB recovery of $860,940.

Note 11 - Michigan Public School Employees' Retirement System (Continued)

At June 30, 2021, the School District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	$ -	$ (35,830,749)
Changes in assumptions	15,855,876	-
Net difference between projected and actual earnings on OPEB plan investments	401,356	-
Changes in proportionate share or difference between amount contributed and proportionate share of contributions	2,198,909	(299,887)
Employer contributions to the plan subsequent to the measurement date	5,007,531	-
Total	$ 23,463,672	$ (36,130,636)

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows (note that employer contributions subsequent to the measurement date will reduce the net OPEB liability and, therefore, will not be included in future OPEB expense):

Years Ending	Amount
2022	$ (4,846,645)
2023	(4,289,784)
2024	(3,385,519)
2025	(2,693,413)
2026	(2,459,134)
Total	$ (17,674,495)

Actuarial Assumptions

The total pension liability and total OPEB liability as of September 30, 2020 are based on the results of an actuarial valuation as of September 30, 2019 and rolled forward. The total pension liability and OPEB liability were determined using the following actuarial assumptions:

Actuarial cost method		Entry age normal
Investment rate of return - Pension	6.00% - 6.80%	Net of investment expenses based on the groups
Investment rate of return - OPEB	6.95%	Net of investment expenses based on the groups
Salary increases	2.75% - 11.55%	Including wage inflation of 2.75%
Health care cost trend rate - OPEB	7.00%	Year 1, graded to 3.5% year 15, 3.0% year 120
Mortality basis		RP-2014 Male and Female Employee Annuitant Mortality tables, scaled 100% (retirees: 82% for males and 78% for females) and adjusted for mortality improvements using projection scale MP-2017 from 2006
Cost of living pension adjustments	3.00%	Annual noncompounded for MIP members

Assumption changes as a result of an experience study for the periods from 2012 to 2017 have been adopted by the System for use in the annual pension and OPEB valuations beginning with the September 30, 2017 valuation.

Note 11 - Michigan Public School Employees' Retirement System (Continued)

Significant assumption changes since the prior measurement date, September 30, 2019, for the OPEB plan include a reduction in the health care cost trend rate of 0.50 percentage points and the actual per person health benefit costs being lower than projected. There were no significant changes in assumptions for the pension actuarial valuation. There were no significant benefit terms changes for the pension or OPEB plans since the prior measurement date of September 30, 2019.

Discount Rate

The discount rate used to measure the total pension liability was 6.00 to 6.80 percent as of September 30, 2020 depending on the plan option. The discount rate used to measure the total OPEB liability was 6.95 percent as of September 30, 2020. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that district contributions will be made at statutorily required rates.

Based on those assumptions, the pension plan's fiduciary net position and the OPEB plan's fiduciary net position were projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan and OPEB plan investments was applied to all periods of projected benefit payments to determine the total pension liability and total OPEB liability.

The long-term expected rate of return on pension plan and OPEB plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Target Allocation	Long-term Expected Real Rate of Return
Domestic equity pools	25.00 %	5.60 %
Private equity pools	16.00	9.30
International equity pools	15.00	7.40
Fixed-income pools	10.50	0.50
Real estate and infrastructure pools	10.00	4.90
Absolute return pools	9.00	3.20
Real return/opportunistic pools	12.50	6.60
Short-term investment pools	2.00	(0.10)
Total	100.00 %	

Long-term rates of return are net of administrative expense and inflation of 2.1 percent.

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of the School District, calculated using the discount rate depending on the plan option. The following also reflects what the School District's net pension liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current rate:

	1 Percentage Point Decrease (5.00 - 5.80%)	Current Discount Rate (6.00 - 6.80%)	1 Percentage Point Increase (7.00 - 7.80%)
Net pension liability of the School District	$ 398,775,499	$ 308,094,061	$ 232,939,362

Note 11 - Michigan Public School Employees' Retirement System (Continued)

Sensitivity of the Net OPEB Liability to Changes in the Discount Rate

The following presents the net OPEB liability of the School District, calculated using the current discount rate. It also reflects what the School District's net OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current rate:

	1 Percentage Point Decrease (5.95%)	Current Discount Rate (6.95%)	1 Percentage Point Increase (7.95%)
Net OPEB liability of the School District	$ 61,775,698	$ 48,088,931	$ 36,565,821

Sensitivity of the Net OPEB Liability to Changes in the Health Care Cost Trend Rate

The following presents the net OPEB liability of the School District, calculated using the current health care cost trend rate. It also reflects what the School District's net OPEB liability would be if it were calculated using a health care cost trend rate that is 1 percentage point lower or 1 percentage point higher than the current rate:

	1 Percentage Point Decrease (6.00%)	Current Rate (7.00%)	1 Percentage Point Increase (8.00%)
Net OPEB liability of the School District	$ 36,124,623	$ 48,088,931	$ 61,696,856

Pension Plan and OPEB Plan Fiduciary Net Position

Detailed information about the plan's fiduciary net position is available in the separately issued MPSERS financial report.

Payable to the Pension Plan and OPEB Plan

At June 30, 2021, the School District reported a payable of $7,516,769 and $951,164 for the outstanding amount of contributions to the pension plan and OPEB plan, respectively, required for the year ended June 30, 2021.

Note 12 - Leases

Operating Leases

The School District leases the building for the Troy Career Center and a fleet of copiers under noncancelable operating leases. Total costs for such leases were $122,804 and $89,112, respectively, for the current year. The future minimum lease payments for these leases are as follows:

Years Ending	Amount
2022	$ 76,333
2023	47,766
2024	38,219
2025	37,350
2026	37,350
Thereafter	9,338
Total	$ 246,356

Note 13 - Tax Abatements

The School District receives reduced property tax revenue as a result of industrial facilities tax exemptions (PA 198 of 1974) and brownfield redevelopment agreements granted by cities, villages, and townships within the boundaries of the School District. Industrial facility exemptions are intended to promote construction of new industrial facilities or to rehabilitate historical facilities; brownfield redevelopment agreements are intended to reimburse taxpayers that remediate environmental contamination on their properties.

For the fiscal year ended June 30, 2021, the School District's property tax revenue was reduced by $114,000 under these programs.

The School District is reimbursed for lost revenue caused by tax abatements on the operating millage of nonhomestead properties from the State of Michigan under the School Aid formula. The School District received approximately $99,000 in reimbursements from the State of Michigan. The School District is not reimbursed for lost revenue from the Sinking Fund or debt service millages.

Required Supplemental Information

Required Supplemental Information
Budgetary Comparison Schedule
General Fund

Year Ended June 30, 2021

	Original Budget	Final Budget	Actual	Over (Under) Final Budget
Revenue				
Local sources	$ 41,672,704	$ 40,829,084	$ 40,975,969	$ 146,885
State sources	95,127,294	109,882,333	109,711,606	(170,727)
Federal sources	3,894,025	10,657,319	10,403,476	(253,843)
Interdistrict sources	8,938,419	9,998,968	10,098,231	99,263
Total revenue	149,632,442	171,367,704	171,189,282	(178,422)
Expenditures				
Current:				
Instruction:				
Basic programs	85,954,714	87,613,549	87,483,395	(130,154)
Added needs	22,323,349	21,550,665	21,334,681	(215,984)
Adult/Continuing education	980,925	792,672	759,568	(33,104)
Support services:				
Pupil	11,265,760	12,003,769	11,914,484	(89,285)
Instructional staff	9,032,224	11,103,220	10,807,305	(295,915)
General administration	1,171,169	1,162,049	1,171,990	9,941
School administration	8,606,516	9,030,733	9,005,170	(25,563)
Business	1,678,400	1,669,622	1,665,793	(3,829)
Operations and maintenance	11,031,186	11,742,577	11,570,833	(171,744)
Pupil transportation services	3,857,454	2,883,297	2,833,477	(49,820)
Central	3,169,991	2,901,250	2,878,902	(22,348)
Other	-	16,000	15,655	(345)
Athletics	1,956,897	1,608,427	1,616,077	7,650
Community services	244,054	622,194	606,808	(15,386)
Debt service	-	991,454	991,754	300
Total expenditures	161,272,639	165,691,478	164,655,892	(1,035,586)
Excess of Revenue (Under) Over Expenditures	(11,640,197)	5,676,226	6,533,390	857,164
Other Financing Sources				
Proceeds from sale of capital assets	1,425,000	9,400	9,401	1
Transfers in	-	180,000	181,601	1,601
Total other financing sources	1,425,000	189,400	191,002	1,602
Net Change in Fund Balance	(10,215,197)	5,865,626	6,724,392	858,766
Fund Balance - Beginning of year	26,009,710	26,009,710	26,009,710	-
Fund Balance - End of year	**$ 15,794,513**	**$ 31,875,336**	**$ 32,734,102**	**$ 858,766**

See notes to required supplemental information.

Required Supplemental Information
Schedule of the School District's Proportionate Share of the Net Pension Liability
Michigan Public School Employees' Retirement System

Last Seven Plan Years

Plan Years Ended September 30

	2020	2019	2018	2017	2016	2015	2014
School District's proportion of the net pension liability	0.89690 %	0.88088 %	0.86640 %	0.86890 %	0.85150 %	0.84400 %	0.80520 %
School District's proportionate share of the net pension liability	$ 308,094,061	$ 291,719,442	$ 260,469,817	$ 225,168,031	$ 212,452,257	$ 206,148,083	$ 177,354,841
School District's covered payroll	$ 79,440,906	$ 78,153,384	$ 77,188,924	$ 73,207,364	$ 72,136,475	$ 73,470,015	$ 71,628,110
School District's proportionate share of the net pension liability as a percentage of its covered payroll	387.83 %	373.27 %	337.44 %	307.58 %	294.51 %	280.59 %	247.61 %
Plan fiduciary net position as a percentage of total pension liability	59.49 %	60.08 %	62.36 %	64.21 %	63.27 %	63.17 %	66.20 %

See notes to required supplemental information.

Required Supplemental Information
Schedule of Pension Contributions
Michigan Public School Employees' Retirement System

Last Seven Fiscal Years

Years Ended June 30

	2021	2020	2019	2018	2017	2016	2015
Statutorily required contribution	$ 27,148,826	$ 24,922,031	$ 23,851,102	$ 22,141,167	$ 19,127,812	$ 16,281,923	$ 12,505,055
Contributions in relation to the statutorily required contribution	27,148,826	24,922,031	23,851,102	22,141,167	19,127,812	16,281,923	12,505,055
Contribution Excess	**$ -**	**$ -**	**$ -**	**$ -**	**$ -**	**$ -**	**$ -**
School District's Covered Payroll	$ 79,444,904	$ 79,542,529	$ 73,305,657	$ 73,147,546	$ 75,447,606	$ 71,360,808	$ 70,933,761
Contributions as a Percentage of Covered Payroll	34.17 %	31.33 %	32.54 %	30.27 %	25.35 %	22.82 %	17.63 %

See notes to required supplemental information.

Required Supplemental Information
Schedule of the School District's Proportionate Share of the Net OPEB Liability
Michigan Public School Employees' Retirement System

Last Four Plan Years

Plan Years Ended September 30

	2020	2019	2018	2017
School District's proportion of the net OPEB liability	0.89764 %	0.89492 %	0.86170 %	0.86740 %
School District's proportionate share of the net OPEB liability	$ 48,088,931	$ 64,235,041	$ 68,498,169	$ 76,809,462
School District's covered payroll	$ 79,440,906	$ 78,153,384	$ 77,188,924	$ 73,207,364
School District's proportionate share of the net OPEB liability as a percentage of its covered payroll	60.53 %	82.19 %	88.74 %	104.92 %
Plan fiduciary net position as a percentage of total OPEB liability	59.76 %	48.67 %	42.95 %	36.39 %

See notes to required supplemental information.

Required Supplemental Information
Schedule of OPEB Contributions
Michigan Public School Employees' Retirement System

Last Four Fiscal Years

Years Ended June 30

	2021	2020	2019	2018
Statutorily required contribution	$ 6,611,206	$ 6,391,719	$ 6,319,573	$ 5,503,226
Contributions in relation to the statutorily required contribution	6,611,206	6,391,719	6,319,573	5,503,226
Contribution Excess	**$ -**	**$ -**	**$ -**	**$ -**
School District's Covered Payroll	$ 79,444,904	$ 79,542,529	$ 73,305,657	$ 73,147,546
Contributions as a Percentage of Covered Payroll	8.32 %	8.04 %	8.62 %	7.52 %

See notes to required supplemental information.

Budgetary Information

Annual budgets are adopted on a basis consistent with generally accepted accounting principles and state law for the General Fund, all special revenue funds, capital projects funds, and debt service funds. All annual appropriations lapse at fiscal year end.

The budget document presents information by fund and function. The legal level of budgetary control adopted by the governing body (i.e., the level at which expenditures may not legally exceed appropriations) is the individual function level. State law requires the School District to have its budget in place by July 1. Expenditures in excess of amounts budgeted are a violation of Michigan law. State law permits school districts to amend their budgets during the year. During the year, the budgets were amended in a legally permissible manner. For budgeting purposes, capital outlay is classified within the related function. There were no significant amendments during the year.

Encumbrance accounting is employed in governmental funds. Encumbrances (e.g., purchase orders or contracts) outstanding at year end are reported as reservations of fund balances and do not constitute expenditures or liabilities because the goods or services have not been received as of year end; the commitments will be reappropriated and honored during the subsequent year.

Pension Information

Ultimately, 10 years of data will be presented in both of the pension-related schedules. The number of years currently presented represents the number of years since the accounting standard requiring these schedules first became applicable.

Benefit Changes

There were no changes of benefit terms for each of the reported plan years ended September 30.

Changes in Assumptions

There were no significant changes of assumptions for each of the reported plan years ended September 30, except for the following:

- 2019 - The discount rate used in the September 30, 2018 actuarial valuation decreased by 0.25 percentage points.

- 2018 - The discount rate used in the September 30, 2017 actuarial valuation decreased by 0.45 percentage points. The valuation also includes the impact of an updated experience study for the periods from 2012 to 2017.

- 2017 - The discount rate used in the September 30, 2016 actuarial valuation decreased by 0.50 percentage points.

OPEB Information

Ultimately, 10 years of data will be presented in both of the OPEB-related schedules. The number of years currently presented represents the number of years since the accounting standard requiring these schedules first became applicable.

Benefit Changes

There were no changes of benefit terms for each of the reported plan years ended September 30.

Changes in Assumptions

There were no significant changes of assumptions for each of the reported plan years ended September 30, except for the following:

- 2020 - The health care cost trend rate used in the September 30, 2019 actuarial valuation decreased by 0.50 percentage points. This, in addition to actual per person health benefit costs being lower than projected, reduced the plan's total OPEB liability by an additional $1.8 billion in 2020.

- 2019 - The discount rate used in the September 30, 2018 actuarial valuation decreased by 0.20 percentage points. The valuation also includes the impact of an updated experience study for the periods from 2012 to 2017. This resulted in lower than projected per person health benefit costs to reduce the plan's total OPEB liability by an additional $1.4 billion in 2019.

- 2018 - The discount rate used in the September 30, 2017 actuarial valuation decreased by 0.35 percentage points. The valuation also includes the impact of an updated experience study for the periods from 2012 to 2017. This resulted in lower than projected per person health benefit costs to reduce the plan's total OPEB liability by $1.4 billion in 2018.

Other Supplemental Information

	Special Revenue Funds						Debt Service Funds	
	Food Service Fund	Community Service Fund	Troy Career Center Fund	Facility Rentals Fund	Troy School District Preschool Fund	Troy School and Student Activities Fund	2012 Refunding Debt Fund	2014 Debt Fund
Assets								
Cash and cash equivalents	$ 337,803	$ 368,730	$ 18,324	$ 108,889	$ 413,678	$ 3,015,691	$ -	$ -
Receivables:								
Other receivables	-	-	-	-	-	1,418	-	-
Due from other governmental units	219,964	-	675,839	-	151,199	-	-	-
Due from other funds	-	-	-	-	-	-	-	-
Inventory	38,824	-	-	-	-	-	-	-
Restricted assets	-	-	-	-	-	-	4,132,388	2,692,228
Total assets	**$ 596,591**	**$ 368,730**	**$ 694,163**	**$ 108,889**	**$ 564,877**	**$ 3,017,109**	**$ 4,132,388**	**$ 2,692,228**
Liabilities								
Accounts payable	$ 116,632	$ 18,593	$ 6,703	$ 2	$ 1,902	$ 146,243	$ -	$ -
Due to other funds	-	-	687,460	-	121,198	717,735	4,132,388	2,633,113
Unearned revenue	198,128	62,995	-	-	148,663	-	-	-
Total liabilities	314,760	81,588	694,163	2	271,763	863,978	4,132,388	2,633,113
Fund Balances								
Nonspendable - Inventory	38,824	-	-	-	-	-	-	-
Restricted:								
Debt service	-	-	-	-	-	-	-	59,115
Capital projects	-	-	-	-	-	-	-	-
Food service	243,007	-	-	-	-	-	-	-
Committed:								
Community service	-	287,142	-	108,887	293,114	-	-	-
Student activities	-	-	-	-	-	2,153,131	-	-
Assigned - Capital maintenance	-	-	-	-	-	-	-	-
Total fund balances	281,831	287,142	-	108,887	293,114	2,153,131	-	59,115
Total liabilities and fund balances	**$ 596,591**	**$ 368,730**	**$ 694,163**	**$ 108,889**	**$ 564,877**	**$ 3,017,109**	**$ 4,132,388**	**$ 2,692,228**

June 30, 2021

Debt Service Funds					Capital Project Funds					
2015 Refunding Debt Fund	2016 Debt Fund	2019 Debt Fund	2021 Refunding Series A Debt Fund	2021 Refunding Series B Debt Fund	2016 Capital Projects Fund	2020 Capital Projects Fund	Early Childhood Learning Center Capital Projects Fund	Capital Maintenance Fund	Sinking Fund	Total
$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ 680,536	$ -	$ 4,943,651
-	-	-	-	-	-	-	-	-	-	1,418
-	-	-	-	-	-	-	-	-	-	1,047,002
-	-	-	-	-	-	-	-	-	277,738	277,738
-	-	-	-	-	-	-	-	-	-	38,824
3,500,639	1,466,389	1,954,273	-	-	1,163,674	-	-	-	3,111,811	18,021,402
$ 3,500,639	**$ 1,466,389**	**$ 1,954,273**	**$ -**	**$ -**	**$ 1,163,674**	**$ -**	**$ -**	**$ 680,536**	**$ 3,389,549**	**$ 24,330,035**
$ -	$ -	$ -	$ -	$ -	$ 324,086	$ -	$ -	$ -	$ 658,475	$ 1,272,636
3,280,712	1,442,314	1,914,051	-	-	839,588	-	-	-	-	15,768,559
-	-	-	-	-	-	-	-	-	-	409,786
3,280,712	1,442,314	1,914,051	-	-	1,163,674	-	-	-	658,475	17,450,981
-	-	-	-	-	-	-	-	-	-	38,824
219,927	24,075	40,222	-	-	-	-	-	-	-	343,339
-	-	-	-	-	-	-	-	-	2,731,074	2,731,074
-	-	-	-	-	-	-	-	-	-	243,007
-	-	-	-	-	-	-	-	-	-	689,143
-	-	-	-	-	-	-	-	-	-	2,153,131
-	-	-	-	-	-	-	-	680,536	-	680,536
219,927	24,075	40,222	-	-	-	-	-	680,536	2,731,074	6,879,054
$ 3,500,639	**$ 1,466,389**	**$ 1,954,273**	**$ -**	**$ -**	**$ 1,163,674**	**$ -**	**$ -**	**$ 680,536**	**$ 3,389,549**	**$ 24,330,035**

	Special Revenue Funds						Debt Service Funds	
	Food Service Fund	Community Service Fund	Troy Career Center Fund	Facility Rentals Fund	Troy School District Preschool Fund	Troy School and Student Activities Fund	2012 Refunding Debt Fund	2014 Debt Fund
Revenue								
Local sources	$ 34,880	$ 350,781	$ -	$ 4,211	$ 659,975	$ 1,186,381	$ 5,531,533	$ 3,444,884
State sources	111,616	-	35,807	-	685,983	-	52,090	41,544
Federal sources	2,402,956	240,500	2,438,363	-	47,700	-	-	-
Total revenue	2,549,452	591,281	2,474,170	4,211	1,393,658	1,186,381	5,583,623	3,486,428
Expenditures								
Current:								
Instruction	-	-	-	-	859,253	-	-	-
Support services	-	-	336,371	104,738	442,378	1,109,257	-	-
Food services	2,355,746	-	-	-	-	-	-	-
Community services	-	695,023	2,059,209	-	39,703	-	-	-
Debt service:								
Principal	-	-	-	-	-	-	4,260,000	2,000,000
Interest	-	-	-	-	-	-	316,197	1,777,500
Other debt costs	-	-	-	-	-	-	300	250
Capital outlay	2,520	-	78,590	-	-	-	-	-
Total expenditures	2,358,266	695,023	2,474,170	104,738	1,341,334	1,109,257	4,576,497	3,777,750
Excess of Revenue Over (Under) Expenditures	191,186	(103,742)	-	(100,527)	52,324	77,124	1,007,126	(291,322)
Other Financing Sources (Uses)								
Face value of debt issued	-	-	-	-	-	-	-	-
Transfers in	-	-	-	-	240,790	-	-	-
Payment to bond refunding escrow agent	-	-	-	-	-	-	-	-
Transfers out	-	-	-	-	-	-	(1,425,000)	-
Total other financing sources (uses)	-	-	-	-	240,790	-	(1,425,000)	-
Net Change in Fund Balances	191,186	(103,742)	-	(100,527)	293,114	77,124	(417,874)	(291,322)
Fund Balances - Beginning of year	90,645	390,884	-	209,414	-	2,076,007	417,874	350,437
Fund Balances - End of year	**$ 281,831**	**$ 287,142**	**$ -**	**$ 108,887**	**$ 293,114**	**$ 2,153,131**	**$ -**	**$ 59,115**

Other Supplemental Information
Combining Statement of Revenue, Expenditures, and Changes in Fund Balances
Nonmajor Governmental Funds

Year Ended June 30, 2021

Debt Service Funds					Capital Project Funds					
2015 Refunding Debt Fund	2016 Debt Fund	2019 Debt Fund	2021 Refunding Series A Debt Fund	2021 Refunding Series B Debt Fund	2016 Capital Projects Fund	2020 Capital Projects Fund	Early Childhood Learning Center Capital Projects Fund	Capital Maintenance Fund	Sinking Fund	Total
$ 4,035,382	$ 1,832,984	$ 2,510,645	$ -	$ -	$ 1,511	$ 474	$ 370,005	$ -	$ 4,155,676	$ 24,119,322
50,080	28,329	26,570	-	-	-	-	-	-	-	1,032,019
-	-	-	-	-	-	-	-	-	-	5,129,519
4,085,462	1,861,313	2,537,215	-	-	1,511	474	370,005	-	4,155,676	30,280,860
-	-	-	-	-	-	-	-	-	-	859,253
-	-	-	-	-	-	-	-	2,403	-	1,995,147
-	-	-	-	-	-	-	-	-	-	2,355,746
-	-	-	-	-	-	-	-	-	-	2,793,935
3,285,000	1,075,000	1,625,000	-	-	-	-	-	-	-	12,245,000
974,250	998,865	1,063,750	-	-	-	-	-	-	-	5,130,562
500	500	300	70,763	208,195	-	-	-	-	-	280,808
-	-	-	-	-	4,531,046	997,082	130,099	-	2,030,593	7,769,930
4,259,750	2,074,365	2,689,050	70,763	208,195	4,531,046	997,082	130,099	2,403	2,030,593	33,430,381
(174,288)	(213,052)	(151,835)	(70,763)	(208,195)	(4,529,535)	(996,608)	239,906	(2,403)	2,125,083	(3,149,521)
-	-	-	7,110,000	33,315,000	-	-	-	-	-	40,425,000
-	-	-	1,425,000	-	-	-	-	-	-	1,665,790
-	-	-	(8,464,237)	(33,106,805)	-	-	-	-	-	(41,571,042)
-	-	-	-	-	-	(181,601)	(240,790)	-	-	(1,847,391)
-	-	-	70,763	208,195	-	(181,601)	(240,790)	-	-	(1,327,643)
(174,288)	(213,052)	(151,835)	-	-	(4,529,535)	(1,178,209)	(884)	(2,403)	2,125,083	(4,477,164)
394,215	237,127	192,057	-	-	4,529,535	1,178,209	884	682,939	605,991	11,356,218
$ 219,927	**$ 24,075**	**$ 40,222**	**$ -**	**$ -**	**$ -**	**$ -**	**$ -**	**$ 680,536**	**$ 2,731,074**	**$ 6,879,054**

Years Ending June 30	2012 Refunding Debt Fund Principal	2012 Refunding Debt Fund Interest	2014 Debt Fund Principal	2014 Debt Fund Interest	2015 Refunding Debt Fund Principal	2015 Refunding Debt Fund Interest	2016 Debt Fund Principal	2016 Debt Fund Interest
2022	$ 4,160,000	$ 78,623	$ 2,000,000	$ 200,000	$ 3,270,000	$ 810,000	$ 1,100,000	$ 967,260
2023	-	-	2,000,000	100,000	3,255,000	646,500	1,250,000	934,920
2024	-	-	-	-	3,240,000	483,750	1,400,000	900,375
2025	-	-	-	-	3,225,000	321,750	1,650,000	865,095
2026	-	-	-	-	3,210,000	160,500	1,925,000	823,200
2027	-	-	-	-	-	-	3,600,000	1,150,875
2028	-	-	-	-	-	-	3,625,000	988,875
2029	-	-	-	-	-	-	4,475,000	825,750
2030	-	-	-	-	-	-	4,575,000	624,375
2031	-	-	-	-	-	-	4,650,000	418,500
2032	-	-	-	-	-	-	4,650,000	209,250
2033	-	-	-	-	-	-	-	-
2034	-	-	-	-	-	-	-	-
2035	-	-	-	-	-	-	-	-
2036	-	-	-	-	-	-	-	-
2037	-	-	-	-	-	-	-	-
2038	-	-	-	-	-	-	-	-
2039	-	-	-	-	-	-	-	-
2040	-	-	-	-	-	-	-	-
Total remaining payments	**$ 4,160,000**	**$ 78,623**	**$ 4,000,000**	**$ 300,000**	**$ 16,200,000**	**$ 2,422,500**	**$ 32,900,000**	**$ 8,708,475**
Principal payments due	May		May		May		May	
Interest payments due	May and November		May and November		May and November		May and November	
Interest rate	1.89%		4.00% - 5.00%		5.00%		2.94% - 4.50%	
Original issue	**$ 43,580,000**		**$ 52,710,000**		**$ 31,930,000**		**$ 40,000,000**	

June 30, 2021

2018 Debt Fund		2019 Debt Fund		2020 Debt Fund		2021 Refunding Series A Debt Fund		2021 Refunding Series B Debt Fund		
Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Total
$ 260,000	$ 225,965	$ 800,000	$ 998,750	$ 360,000	$ 115,000	$ 2,165,000	$ 16,131	$ -	$ 282,678	$ 17,809,407
270,000	218,165	850,000	958,750	370,000	107,800	4,945,000	14,835	3,025,000	335,855	19,281,825
280,000	210,065	900,000	916,250	375,000	100,400	-	-	5,785,000	326,931	14,917,771
290,000	201,665	950,000	871,250	385,000	92,900	-	-	5,515,000	297,832	14,665,492
300,000	192,965	1,000,000	823,750	390,000	85,200	-	-	5,470,000	254,099	14,634,714
310,000	183,965	1,050,000	773,750	400,000	77,400	-	-	6,730,000	197,046	14,473,036
320,000	174,665	1,100,000	721,250	405,000	69,400	-	-	6,790,000	105,720	14,299,910
330,000	165,065	1,900,000	666,250	415,000	61,300	-	-	-	-	8,838,365
345,000	155,165	2,000,000	571,250	420,000	53,000	-	-	-	-	8,743,790
355,000	144,815	2,100,000	471,250	430,000	44,600	-	-	-	-	8,614,165
370,000	133,810	2,300,000	366,250	440,000	36,000	-	-	-	-	8,505,310
380,000	121,970	2,500,000	251,250	445,000	27,200	-	-	-	-	3,725,420
395,000	109,810	2,525,000	126,250	455,000	18,300	-	-	-	-	3,629,360
410,000	96,775	-	-	460,000	9,200	-	-	-	-	975,975
420,000	82,425	-	-	-	-	-	-	-	-	502,425
435,000	67,725	-	-	-	-	-	-	-	-	502,725
450,000	52,500	-	-	-	-	-	-	-	-	502,500
465,000	35,625	-	-	-	-	-	-	-	-	500,625
485,000	18,188	-	-	-	-	-	-	-	-	503,188
$ 6,870,000	**$ 2,591,328**	**$ 19,975,000**	**$ 8,516,250**	**$ 5,750,000**	**$ 897,700**	**$ 7,110,000**	**$ 30,966**	**$ 33,315,000**	**$ 1,800,161**	**$ 155,626,003**
May		May		May		May		May		
May and November		May and November		May and November		May and November		May and November		
3.00% - 3.75%		4.00% - 5.00%		2.00%		0.20 - 0.30%		0.30 - 1.56%		
$ 7,125,000		**$ 22,630,000**		**$ 6,100,000**		**$ 7,110,000**		**$ 33,315,000**		

	Food Service Fund		Community Service Fund	
	Budget	Actual	Budget	Actual
Revenue				
Local sources	$ 30,000	$ 34,880	$ 315,000	$ 350,781
State sources	110,416	111,616	-	-
Federal sources	2,325,155	2,402,956	240,500	240,500
Total revenue	2,465,571	2,549,452	555,500	591,281
Expenditures				
Current:				
Instruction	-	-	-	-
Support services	-	-	-	-
Athletics	-	-	-	-
Food services	2,426,880	2,355,746	-	-
Community services	-	-	654,229	695,023
Debt service - Interest	-	-	-	-
Capital outlay	10,520	2,520	-	-
Total expenditures	2,437,400	2,358,266	654,229	695,023
Excess of Revenue (Under) Over Expenditures	28,171	191,186	(98,729)	(103,742)
Other Financing Sources (Uses)				
Proceeds from sale of capital assets	-	-	-	-
Transfers in	-	-	-	-
Transfers out	-	-	-	-
Total other financing sources (uses)	-	-	-	-
Net Change in Fund Balances	28,171	191,186	(98,729)	(103,742)
Fund Balances - Beginning of year	90,645	90,645	390,884	390,884
Fund Balances - End of year	**$ 118,816**	**$ 281,831**	**$ 292,155**	**$ 287,142**

Troy Career Center Fund		Facility Rentals Fund		Troy School District Preschool Fund		Troy School and Student Activities Fund	
Budget	Actual	Budget	Actual	Budget	Actual	Budget	Actual
$ -	$ -	$ -	$ 4,211	$ 667,751	$ 659,975	$ 1,050,000	$ 1,186,381
75,000	35,807	-	-	684,080	685,983	-	-
2,433,370	2,438,363	-	-	47,700	47,700	-	-
2,508,370	2,474,170	-	4,211	1,399,531	1,393,658	1,050,000	1,186,381
-	-	-	-	848,520	859,253	-	-
-	336,371	106,501	104,738	451,349	442,378	700,000	1,109,257
-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-
2,508,370	2,059,209	-	-	38,936	39,703	-	-
-	-	-	-	-	-	-	-
-	78,590	-	-	-	-	-	-
2,508,370	2,474,170	106,501	104,738	1,338,805	1,341,334	700,000	1,109,257
-	-	(106,501)	(100,527)	60,726	52,324	350,000	77,124
-	-	-	-	-	-	-	-
-	-	-	-	235,000	240,790	-	-
-	-	-	-	-	-	-	-
-	-	-	-	235,000	240,790	-	-
-	-	(106,501)	(100,527)	295,726	293,114	350,000	77,124
-	-	209,414	209,414	-	-	2,076,007	2,076,007
$ -	**$ -**	**$ 102,913**	**$ 108,887**	**$ 295,726**	**$ 293,114**	**$ 2,426,007**	**$ 2,153,131**

Other Supplemental Information
Budgetary Comparison Schedule - Nonmajor Governmental Funds
Debt Service Funds

Year Ended June 30, 2021

	Total Budget	2012 Refunding Debt Fund Actual	2014 Debt Fund Actual	2015 Refunding Debt Fund Actual	2016 Debt Fund Actual	2019 Debt Fund Actual	2021 Refunding Series A Debt Fund Actual	2021 Refunding Series B Debt Fund Actual	Total Actual
Revenue									
Local sources	$ 17,322,669	$ 5,531,533	$ 3,444,884	$ 4,035,382	$ 1,832,984	$ 2,510,645	$ -	$ -	$ 17,355,428
State sources	165,000	52,090	41,544	50,080	28,329	26,570	-	-	198,613
Total revenue	17,487,669	5,583,623	3,486,428	4,085,462	1,861,313	2,537,215	-	-	17,554,041
Expenditures - Debt Service	17,375,562	4,576,497	3,777,750	4,259,750	2,074,365	2,689,050	70,763	208,195	17,656,370
Excess of Revenue (Under) Over Expenditures	112,107	1,007,126	(291,322)	(174,288)	(213,052)	(151,835)	(70,763)	(208,195)	(102,329)
Other Financing Sources (Uses)									
Face value of debt issued	-	-	-	-	-	-	7,110,000	33,315,000	40,425,000
Transfers In	-	-	-	-	-	-	1,425,000	-	1,425,000
Payment to bond refunding escrow agent	-	-	-	-	-	-	(8,464,237)	(33,106,805)	(41,571,042)
Transfers out	-	(1,425,000)	-	-	-	-	-	-	(1,425,000)
Total other financing sources (uses)	-	(1,425,000)	-	-	-	-	70,763	208,195	(1,146,042)
Net Change in Fund Balances	112,107	(417,874)	(291,322)	(174,288)	(213,052)	(151,835)	-	-	(1,248,371)
Fund Balances - Beginning of year	1,483,784	417,874	350,437	394,215	237,127	192,057	-	-	1,591,710
Fund Balances - End of year	**$ 1,595,891**	**$ -**	**$ 59,115**	**$ 219,927**	**$ 24,075**	**$ 40,222**	**$ -**	**$ -**	**$ 343,339**

	2016 Capital Projects Fund		2019 Capital Projects Fund	
	Budget	Actual	Budget	Actual
Revenue - Local sources	$ 2,000	$ 1,511	$ 25,000	$ 22,508
Expenditures				
Current - Support services	-	-	-	-
Capital outlay	4,531,535	4,531,046	9,000,000	8,487,133
Total expenditures	4,531,535	4,531,046	9,000,000	8,487,133
Excess of Revenue (Under) Over Expenditures	(4,529,535)	(4,529,535)	(8,975,000)	(8,464,625)
Other Financing Sources (Uses)				
Transfers Out	-	-	-	-
Net Change in Fund Balances	(4,529,535)	(4,529,535)	(8,975,000)	(8,464,625)
Fund Balances - Beginning of year	4,529,535	4,529,535	26,695,847	26,695,847
Fund Balances - End of year	**$ -**	**$ -**	**$ 17,720,847**	**$ 18,231,222**

2020 Capital Projects Fund		Early Childhood Learning Center Capital Projects Fund		Capital Maintenance Fund		Sinking Fund	
Budget	Actual	Budget	Actual	Budget	Actual	Budget	Actual
$ 500	$ 474	$ 370,000	$ 370,005	$ -	$ -	$ 4,151,700	$ 4,155,676
-	-	-	-		2,403	-	-
998,709	997,082	135,884	130,099	-	-	1,500,000	2,030,593
998,709	997,082	135,884	130,099	-	2,403	1,500,000	2,030,593
(998,209)	(996,608)	234,116	239,906	-	(2,403)	2,651,700	2,125,083
(180,000)	(181,601)	(235,000)	(240,790)	-	-	-	-
(1,178,209)	(1,178,209)	(884)	(884)	-	(2,403)	2,651,700	2,125,083
1,178,209	1,178,209	884	884	682,939	682,939	605,991	605,991
$ -	**$ -**	**$ -**	**$ -**	**$ 682,939**	**$ 680,536**	**$ 3,257,691**	**$ 2,731,074**

Statistical Section

Statistical Section

This part of the comprehensive annual financial report presents detailed information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about the School District's overall financial health

The statistical section is organized into the following main categories:

Financial trends

These schedules contain trend information to help the reader understand how the School District's financial performance and well-being have changed over time.

Revenue capacity

These schedules contain information to help the reader assess the School District's most significant local revenue source, the property tax.

Debt capacity

These schedules present information to help the reader assess the affordability of the School District's current level of outstanding debt and the School District's ability to issue additional debt in the future.

- Demographic and economic information

These schedules help the reader understand the environment within which the government's financial activities take place.

- Operating information

These schedules contain service and infrastructure data to help the reader understand how the information in the School District's financial report relates to the services the School District provides and the activities it performs.

	As of June 30,			
	2012	2013	2014	2015
Governmental Activities:				
Net investment in capital assets	$ 44,635,062	$ 49,650,160	$ 48,963,971	$ 50,345,593
Restricted	964,489	1,098,915	1,325,280	1,525,050
Unrestricted	14,978,449	14,608,921	(159,373,218)	(159,337,830)
Total net position	**$ 60,578,000**	**$ 65,357,996**	**$ (109,083,967)**	**$ (107,467,187)**

Source: Troy School District audited financial reports

Net Position by Component

Last Ten Fiscal Years

June 30, 2021

As of June 30,					
2016	2017	2018	2019	2020	2021
$ 52,850,787	$ 52,187,495	$ 64,080,214	$ 68,823,977	$ 76,314,228	$ 82,174,848
2,110,382	2,806,234	1,701,818	1,999,716	2,418,462	805,107
(164,387,265)	(238,084,097)	(245,531,896)	(252,731,885)	(274,892,344)	(284,037,913)
$ (109,426,096)	**$ (183,090,368)**	**$ (179,749,864)**	**$ (181,908,192)**	**$ (196,159,654)**	**$ (201,057,958)**

	As of June 30,			
	2012	2013	2014	2015
Expenses				
Governmental activities:				
Instruction	$ 83,976,599	$ 87,870,523	$ 91,406,718	$ 93,200,608
Support services	52,377,200	51,272,032	51,044,441	52,626,314
Food services	3,200,155	3,165,119	3,251,038	3,421,925
Athletics	1,933,989	1,946,554	1,991,675	1,739,618
Community services	3,023,284	2,000,169	2,135,687	2,270,469
Interest on long-term debt	6,137,988	4,738,351	3,846,343	4,889,258
Other	73,880	91,187	416,246	-
Total governmental activities	150,723,095	151,083,935	154,092,148	158,148,192
Program revenue				
Charges for services:				
Instruction	1,903,679	663,813	784,889	463,496
Support services	-	-	-	99,141
Food services	2,437,770	2,286,324	2,325,177	2,301,069
Athletics	628,042	636,055	624,520	617,879
Community services	2,386,819	2,572,614	2,737,638	3,341,922
Operating grants and contributions	22,809,337	23,286,360	21,234,000	25,532,747
Total program revenue	30,165,647	29,445,166	27,706,224	32,356,254
Net (expense) revenue	(120,557,448)	(121,638,769)	(126,385,924)	(125,791,938)
General Revenue				
Property taxes	53,454,199	51,280,806	49,347,295	49,975,301
State aid not restricted to				-
specific purposes	71,495,549	74,507,547	80,048,303	77,093,615
Federal sources - unrestricted	101,652	-	-	-
Investment earnings	22,832	17,303	11,718	3,638
Gain/loss on sale of capital assets	-	-	14,282	-
Total general revenue	125,074,232	125,805,656	129,421,598	127,072,554
Other/Transfers	735,448	613,109	398,539	336,164
Change in Net Position	**$ 5,252,232**	**$ 4,779,996**	**$ 3,434,213**	**$ 1,616,780**

Source: Troy School District audited financial reports

Changes in Governmental Net Position

Last Ten Fiscal Years

June 30, 2021

As of June 30,					
2016	2017	2018	2019	2020	2021
$ 101,854,565	$ 101,201,673	$ 110,991,618	$ 111,616,317	$ 126,101,286	$ 120,915,752
54,243,566	58,358,918	58,770,663	61,412,099	67,789,772	67,702,339
3,379,220	3,993,896	3,928,310	3,905,867	3,000,067	2,416,697
1,636,069	1,758,020	1,843,331	1,931,128	2,215,582	1,700,708
2,706,054	2,715,707	3,483,990	3,888,821	4,375,699	6,324,376
4,627,733	4,469,693	5,069,657	4,591,605	5,026,646	4,533,849
-	-	-	-	115,825	281,108
168,447,207	172,497,907	184,087,569	187,345,837	208,624,877	203,874,829
488,463	462,953	568,971	603,071	465,827	436,849
101,214	111,728	113,563	116,643	-	-
2,408,187	2,392,223	2,382,497	2,273,020	1,667,850	35,261
640,163	622,554	639,532	636,656	155,470	319,969
3,970,320	3,909,779	4,087,294	4,223,836	3,633,369	1,010,456
28,582,037	30,632,594	34,244,702	35,392,379	36,975,323	52,855,894
36,190,384	38,131,831	42,036,559	43,245,605	42,897,839	54,658,429
(132,256,823)	(134,366,076)	(142,051,010)	(144,100,232)	(165,727,038)	(149,216,400)
50,777,589	53,098,343	54,637,309	57,266,919	59,108,800	60,806,414
78,611,473	79,978,729	81,468,745	82,083,583	82,536,248	81,687,900
-	-	-	-	29,868	23,088
96,248	221,146	460,082	851,252	929,117	97,442
(2,615)	1,200	8,352,188	212,049	2,278,502	(708,156)
129,482,695	133,299,418	144,918,324	140,413,803	144,882,535	141,906,688
815,219	1,171,586	473,190	1,528,100	4,621,697	2,411,408
$ (1,958,909)	**$ 104,928**	**$ 3,340,504**	**$ (2,158,329)**	**$ (16,222,806)**	**$ (4,898,304)**

	As of June 30,			
	2012	2013	2014	2015
General Fund:				
Nonspendable	553,640	636,986	379,313	470,218
Assigned	3,163,998	-	-	-
Unassigned	19,360,943	21,433,250	21,000,702	20,231,419
Total general fund	**$ 23,078,581**	**$ 22,070,236**	**$ 21,380,015**	**$ 20,701,637**
All other governmental funds:				
Nonspendable	54,510	138,930	95,318	55,497
Restricted	1,160,639	1,043,418	52,935,633	33,408,409
Committed	1,870,844	2,411,625	3,024,664	3,084,978
Assigned				
Unassigned	(1,859,077)	(3,022,218)	(39,821)	(146,872)
Total all other governmental funds	1,226,916	571,755	56,015,794	36,402,012
Total of all governmental funds	**$ 24,305,497**	**$ 22,641,991**	**$ 77,395,809**	**$ 57,103,649**

Source: Troy School District audited financial reports

Fund Balances, Governmental Funds

Last Ten Fiscal Years

June 30, 2021

As of June 30,					
2016	2017	2018	2019	2020	2021
493,772	489,092	455,901	782,875	622,620	219,859
-	-	-	-	9,971,143	706,368
21,038,513	23,716,299	24,789,571	24,623,618	15,415,947	31,807,875
$ 21,532,285	**$ 24,205,391**	**$ 25,245,472**	**$ 25,406,493**	**$ 26,009,710**	**$ 32,734,102**
43,359	34,918	41,549	36,024	64,194	38,824
14,905,377	41,786,386	39,840,906	41,849,992	34,628,627	21,548,642
753,043	1,090,947	1,198,112	841,222	2,676,305	2,842,274
	2,174,557	686,469	967,974	682,939	680,536
2,569,438	-	-	-	-	-
18,271,217	45,086,808	41,767,036	43,695,212	38,052,065	25,110,276
$ 39,803,502	**$ 69,292,199**	**$ 67,012,508**	**$ 69,101,705**	**$ 64,061,775**	**$ 57,844,378**

	As of June 30,			
	2012	2013	2014	2015
Revenue				
Local revenue	$ 61,234,662	$ 57,865,103	$ 56,158,802	$ 57,046,419
State revenue	79,208,070	83,608,210	87,337,983	90,333,958
Federal revenue	6,490,527	6,491,677	5,847,491	6,106,109
Interdistrict revenue	8,696,443	7,684,248	7,143,518	7,145,883
Total revenue	155,629,702	155,649,238	156,487,794	160,632,369
Expenditures				
Current:				
Instruction	85,883,693	88,303,787	90,372,588	93,935,867
Support services	40,711,527	43,470,086	42,601,282	42,810,578
Food services	3,179,306	3,145,374	3,231,293	3,451,865
Athletics	1,657,870	1,696,702	1,759,847	1,739,618
Community services	3,021,951	1,998,836	2,134,354	2,292,046
Other	73,880	91,187	-	19,724,689
Debt service:				
Principal	12,490,900	13,085,900	8,690,900	10,630,898
Interest	5,795,891	4,470,151	3,327,532	4,963,082
Other	437,583	577,214	416,246	1,055,059
Capital Outlay	4,479,577	625,155	7,461,887	691,641
Total expenditures	157,732,178	157,464,392	159,995,929	181,295,343
Excess of Revenue (Under) Over Expenditures	(2,102,476)	(1,815,154)	(3,508,135)	(20,662,974)
Other Financing Sources (Uses)				
Debt issuance	-	43,580,000	52,710,000	31,930,000
Debt premium or discount	-	-	5,510,442	5,574,183
Proceeds from sale of capital assets	-	-	41,511	44,450
Transfers in	1,320,236	1,345,540	107,708	1,605,170
Transfers out	(1,320,236)	(1,345,540)	(107,708)	(1,580,263)
Debt defeasance	-	(43,428,352)	-	(37,202,726)
Total other financing sources (uses)	-	151,648	58,261,953	370,814
Net change in fund balances	(2,102,476)	(1,663,506)	54,753,818	(20,292,160)
Fund Balances - Beginning of year	26,407,973	24,305,497	22,641,991	77,395,809
Fund Balances - End of year	**$ 24,305,497**	**$ 22,641,991**	**$ 77,395,809**	**$ 57,103,649**
Debt service as a percentage of noncapital expenditures	12.02%	11.53%	8.16%	10.14%

Source: Troy School District audited financial reports

Changes in Fund Balances, Governmental Funds

Last Ten Fiscal Years

June 30, 2021

As of June 30,					
2016	2017	2018	2019	2020	2021
$ 59,248,778	$ 61,515,660	$ 63,195,894	$ 67,185,641	$ 70,582,130	$ 65,117,799
94,448,980	97,409,955	102,218,608	102,991,529	104,617,684	110,743,625
5,814,843	5,834,392	6,111,461	6,993,508	6,775,053	15,532,995
7,011,587	7,610,128	7,537,593	7,817,110	8,485,720	10,098,231
166,524,188	172,370,135	179,063,556	184,987,788	190,460,587	201,492,650
97,217,899	99,214,158	104,214,738	105,006,674	108,084,602	110,296,670
42,865,952	44,755,225	47,337,756	49,348,852	51,059,745	51,263,342
3,229,152	3,553,109	3,502,376	3,681,063	2,929,564	2,355,746
1,636,069	1,758,020	1,843,331	1,931,128	1,865,512	1,593,596
2,608,058	2,672,036	3,329,338	3,539,897	3,925,250	3,400,743
19,149,741	14,656,965	17,761,742	-	-	
11,660,000	11,310,000	13,105,000	10,565,000	12,235,000	12,850,000
4,923,585	4,430,246	5,665,142	5,054,648	5,736,725	5,517,016
37,516	144,555	64,012	212,698	115,825	281,108
502,348	619,824	-	31,063,786	20,966,707	19,015,185
183,830,320	183,114,138	196,823,435	210,403,746	206,918,930	206,573,406
(17,306,132)	(10,744,003)	(17,759,879)	(25,415,958)	(16,458,343)	(5,080,756)
-	40,000,000	7,125,000	22,630,000	6,100,000	40,425,000
-	-	-	4,453,291	117,488	-
5,985	232,700	8,352,188	424,864	3,229,580	9,401
5,216,559	802,379	5,472,872	943,902	748,351	1,847,391
(5,216,559)	(802,379)	(5,472,872)	(943,902)	(748,351)	(1,847,391)
-	-	-	-	-	(41,571,042)
5,985	40,232,700	15,477,188	27,508,155	9,447,068	(1,136,641)
(17,300,147)	29,488,697	(2,282,691)	2,092,197	(7,011,275)	(6,217,397)
57,103,649	39,803,502	69,292,199	67,009,508	71,073,050	64,061,775
$ 39,803,502	**$ 69,292,199**	**$ 67,009,508**	**$ 69,101,705**	**$ 64,061,775**	**$ 57,844,378**
10.00%	9.17%	10.34%	8.56%	9.55%	9.58%

Taxable Value and Estimated Actual Value of Taxable Property

June 30, 2021

		Taxable Value by Property Type								
		Real Property								
Tax Year	Fiscal year	Residential	Commercial	Industrial	Agricultural & other	Personal property	Total Value	Tax rate (mills)	Estimated Actual Value	Taxable Value as a % of Actual
2011	2012	2,102,682,450	995,799,580	163,123,060	-	301,376,730	3,562,981,820	22.7000	7,125,963,640	50.00%
2012	2013	2,116,563,380	825,249,420	205,855,470	-	311,243,810	3,458,912,080	22.9500	6,917,824,160	50.00%
2013	2014	2,167,941,140	761,103,818	194,670,340	-	323,806,650	3,447,521,948	22.7000	6,895,043,896	50.00%
2014	2015	2,237,229,620	731,677,310	191,295,720	-	332,280,180	3,492,482,830	22.5920	6,984,965,660	50.00%
2015	2016	2,325,897,703	743,060,107	193,552,920	-	341,000,860	3,603,511,590	22.5794	7,207,023,180	50.00%
2016	2017	2,343,454,337	748,668,967	195,013,921	-	343,574,846	3,630,712,071	22.7000	7,261,424,140	50.00%
2017	2018	2,417,387,678	772,288,628	201,166,390	-	354,414,244	3,745,256,940	22.7000	7,490,513,880	50.00%
2018	2019	2,596,222,560	795,084,260	212,890,030	-	299,259,090	3,903,455,940	23.0922	7,806,911,880	50.00%
2019	2020	2,723,376,740	840,995,420	222,805,950	-	304,995,240	4,092,173,350	23.0858	8,184,346,700	50.00%
2020	2021	2,624,514,481	858,127,640	505,596,111		245,194,580	4,233,432,812	23.0826	8,466,865,624	50.00%
									-	

Note: Under Michigan law, the revenue base is referred to as "Taxable Value". This amount represents Assessed value (50% of true cash value), limited for each property by the lower of 5% or inflation.

Taxes levied in a particular "tax year" become revenue of the subsequent fiscal year

Source: City of Troy - Assessing Department

Direct and Overlapping Property Tax Rates

June 30, 2021

	Millage rates - direct school district taxes						Overlapping taxes							
	Operating				Total Direct Taxes									
Tax Year	Homestead	Non-homestead	Debt*	Sinking Fund*	Homestead	Non-homestead	County	Community college	Intermediate school district	State Education	City of Troy	Zoo	Art	SMART**
2011	5.4608	18.0000	4.7000	-	10.1608	22.7000	4.6461	1.5844	3.3690	6.0000	9.4900	0.0998	-	0.5950
2012	5.5563	18.0000	4.9500	-	10.5063	22.9500	4.6461	1.5844	3.3690	6.0000	10.5200	0.9980	0.1996	0.5950
2013	5.3741	18.0000	4.7000	-	10.0741	22.7000	4.6461	1.5844	3.3690	6.0000	10.5000	0.0998	0.1996	0.5950
2014	5.2580	17.8920	4.7000	-	9.9580	22.5920	4.6461	1.5844	3.3690	6.0000	10.5000	0.9980	0.1996	0.5950
2015	4.9918	17.8794	4.7000	-	9.6918	22.5794	4.5456	1.5819	3.3634	6.0000	10.4974	0.0998	0.1996	1.0000
2016	5.6320	18.0000	4.7000	-	10.3320	22.7000	4.0400	1.5707	3.3398	6.0000	10.3989	0.0990	0.1981	1.0000
2017	5.6320	18.0000	4.7000	-	10.3320	22.7000	4.0400	1.5550	3.3079	6.0000	10.3582	-	-	-
2018	5.2320	18.0000	4.1000	0.9922	10.3242	23.0922	4.0400	1.5431	3.2813	6.0000	10.2964	-	-	-
2019	4.8836	18.0000	4.1000	0.9858	9.9694	23.0858	4.0400	1.5303	3.2539	6.0000	10.2437	-	-	-
2020	4.6750	18.0000	4.1000	0.9826	9.7576	23.0826	4.0200	1.5184	3.2280	6.0000	9.9991	-	-	-

* Debt and sinking fund millages apply to homestead and non-homestead property
** Suburban Mobility Authority Regional Transportation

Source: City of Troy - Assessing Department

Principal Property Taxpayers

Current and Nine Years Ago
June 30, 2021

	Taxpayer	2020 Taxable Value	% of total	2011 Rank	Taxpayer	2011 Taxable Value	% of total
1	Somerset Collections	$ 58,558,600	1.38%	1	Somerset Collections	$ 51,936,410	1.46%
2	DTE	43,704,870	1.03%	*	LSREF Clover Reo 2 LLC	35,118,170	0.99%
3	Troy Apts	30,792,120	0.73%	3	DTE	31,142,490	0.87%
4	Troy Officentre	26,487,590	0.63%	8	Delphi	25,337,300	0.71%
5	Urbancal Oakland	24,639,700	0.58%	6	Nykel Management Co.	25,227,340	0.71%
6	Columbia Center Troy	22,205,180	0.52%	7	Urbancal Oakland	22,384,020	0.63%
7	Consumers Energy	21,717,310	0.51%	*	Columbia Center Troy	21,793,150	0.61%
8	Wilshire Plaza	16,809,920	0.40%	*	Troy Officentre	21,664,000	0.61%
9	Kelly Services	15,966,860	0.38%	10	Bank of America	19,886,660	0.56%
10	Bostick	15,660,670	0.37%	*	Kelly Services	18,275,650	0.51%
	Total	$ 276,542,820	6.53%			$ 272,765,190	7.66%
	Taxable Value	$ 4,233,432,812				$ 3,562,981,820	

* Data not available

Source: City of Troy- Assessing Department

Property Tax Levies and Collections

Last Ten Fiscal Years
June 30, 2021

Tax Year	Year ended June 30,	Total levy	Current collections (1)	Percent collected	Delinquent collections (2)	Total tax collections	Percent of levy collected
2011	2012	53,411,375	53,294,220	99.78%	150,362	53,444,582	100.06%
2012	2013	51,334,635	51,107,593	99.56%	173,214	51,280,807	99.90%
2013	2014	49,457,295	49,116,127	99.31%	231,168	49,347,295	99.78%
2014	2015	49,928,293	48,917,135	97.97%	830,632	49,747,767	99.64%
2015	2016	50,867,677	49,811,759	97.92%	886,090	50,697,849	99.67%
2016	2017	52,985,629	51,980,465	98.10%	823,575	52,804,040	99.66%
2017	2018	54,512,259	53,587,874	98.30%	836,283	54,424,157	99.84%
2018	2019	57,508,396	56,473,447	98.20%	793,458	57,266,905	99.58%
2019	2020	59,256,610	58,039,040	97.95%	1,069,760	59,108,800	99.75%
2020	2021	60,779,142	59,706,892	98.24%	1,099,522	60,806,414	100.04%

(1) Represents collections through the final distribution of taxes, including delinquent real taxes purchased by the county

(2) Represents all collections after the final distribution date, through the current date

Source: City of Troy - Treasurer's Office and Troy School District

Ratios of General Bonded Debt Outstanding

Last Ten Fiscal Years

June 30, 2021

Fiscal Year	Tax-limited General obligation bonds (LTGO)	Less: pledged debt service funds	Other general obligation debt	Net general bonded debt	Taxable value	Net general bonded debt as a percentage of taxable value	Population	Net general bonded debt per capita	Total outstanding debt to personal income
2012	103,580,000	-	5,766,546	109,346,546	3,562,981,820	3.07%	81,151	1,347	38.56
2013	93,605,000	-	5,312,567	98,917,567	3,458,912,080	2.86%	81,945	1,207	31.51
2014	137,655,000	853,935	10,369,030	147,170,095	3,447,521,948	4.27%	83,270	1,767	46.65
2015	123,585,000	1,054,935	11,173,189	133,703,254	3,492,482,830	3.83%	83,319	1,605	36.17
2016	111,925,000	1,221,661	10,897,023	121,600,362	3,603,511,590	3.37%	82,339	1,477	31.74
2017	140,615,000	2,643,654	10,353,730	148,325,076	3,630,712,070	4.09%	83,181	1,783	36.96
2018	134,635,000	1,535,463	9,723,801	142,823,338	3,745,256,940	3.81%	87,177	1,638	Not available
2019	146,700,000	2,392,659	13,352,886	157,660,227	3,903,455,940	4.04%	85,584	1,842	Not available
2020	140,565,000	1,591,710	12,429,510	151,402,800	4,092,173,350	3.70%	84,547	1,791	Not available
2021	130,280,000	343,339	7,678,963	137,615,624	4,233,432,812	3.25%	87,294	1,576	Not available

Source: City of Troy and Troy School District

Direct and Overlapping Governmental Activities Debt

June 30, 2021

Governmental unit	Debt outstanding	Estimated percent applicable	Estimated share of overlapping debt
City of Troy	$ 16,311,099	80.52%	$ 13,133,697
Oakland County	253,404,549	6.72%	17,028,786
Oakland ISD	42,045,000	6.75%	2,838,038
Total overlapping debt			33,000,520
Direct district debt			129,936,661
Total direct and overlapping debt			$ 162,937,181

Note: The method used to compute the overalapping debt percentages is Troy School District's taxable value in each community compared to that community's taxable value.

Source: Municipal Advisory Council of Michigan and Troy School District

	As of June 30,			
	2012	2013	2014	2015
Calculation of debt limit				
Taxable assessed value (TAV)	$ 3,562,981,820	$ 3,458,912,080	$ 3,447,521,948	$ 3,492,482,830
15% of taxable assessed value (TAV)	534,447,273	518,836,812	517,128,292	523,872,425
Calculation of debt subject to limit				
Debt Subject to Limit	103,580,000	93,605,000	137,655,000	123,585,000
Less debt not subject to limit:				
State qualified debt issuance	-	-	-	-
Net debt subject to limit	103,580,000	93,605,000	137,655,000	123,585,000
Legal debt margin	$ 430,867,273	$ 425,231,812	$ 379,473,292	$ 400,287,425
Net debt subject to limit as a percentage of debt limit	19.38%	18.04%	26.62%	23.59%

As of June 30,					
2016	2017	2018	2019	2020	2021
$ 3,603,511,590	$ 3,630,712,070	$ 3,745,256,940	$ 3,903,455,940	$ 4,092,173,350	$ 4,233,432,812
540,526,739	544,606,811	561,788,541	585,518,391	613,826,003	635,014,922
111,925,000	140,615,000	134,635,000	144,307,341	138,973,290	129,936,661
-	-	-	-	-	-
111,925,000	140,615,000	134,635,000	144,307,341	138,973,290	129,936,661
$ 428,601,739	$ 403,991,811	$ 427,153,541	$ 441,211,050	$ 474,852,713	$ 505,078,261
20.71%	25.82%	23.97%	24.65%	22.64%	20.46%

Demographic and Economic Statistics

June 30, 2021

Fiscal year	Population	Total Personal Income (in thousands)	City of Troy Per Capita Personal Income	City of Troy Unemployment Rate*
2012	81,151	2,835,993	34,947	6.80%
2013	81,945	3,139,525	38,313	6.40%
2014	83,270	3,154,588	37,884	5.30%
2015	83,319	3,696,092	44,361	3.80%
2016	82,339	3,830,797	46,525	3.40%
2017	83,181	4,013,037	Not Available	2.90%
2018	87,177	Not Available	45,888	2.80%
2019	85,584	Not Available	Not Available	2.90%
2020	84,547	Not Available	Not Available	7.70%
2021	87,294	Not Available	Not Available	4.80%

* Represents annual unemployment rate per the Michigan Labor Market Information database

Source: State of Michigan and SEMCOG

Principal Employers

June 30, 2021

	Employer	2021 Employees	Percentage of total	2012 Employees	Percentage of total	2012 rank
1	William Beaumont Hospital	2,300	5.64%	840	0.89%	7
2	Troy School District	1,261	3.09%	1,173	1.24%	3
3	Meritor, Inc.	1,200	2.94%	900	0.95%	6
4	Magna International of America, Inc.	900	2.21%	1,055	1.12%	4
5	Mahle Industries, Inc.	500	1.23%	*	*	*
6	Plex Systems, Inc.	470	1.15%	*	*	*
7	Kamax L.P.	375	0.92%	*	*	*
8	Inteva Products, LLC	350	0.86%	*	*	*
9	Utica Enterprises	350	0.86%	*	*	*
10	Toyoda Gosei North America Corporation	308	0.75%	*	*	*
	Flagstar Bank FSB	*	*	2,119	2.24%	1
	Kelly Services	*	*	1,276	1.35%	2
	SERPEO	*	*	1,000	1.06%	5
	City of Troy	*	*	534	0.57%	8
	ThyssenKrupp	*	*	420	0.44%	9
	Systems Technology Group, Inc.	*	*	375	0.40%	10
	Total principal employers	8,014	19.64%	9,692	10.26%	
	Total employment	40,805		94,504		

Source: PFM and State of Michigan

Full-Time Equivalent School District Employees

Last Ten Fiscal Years

June 30, 2021

Function/ program:	As of June 30,									
	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
General government										
Instruction	785	771	776	787	825	848	840	887	925	862
Support services	216	215	243	276	249	308	153	162	171	107
Community service	36	42	9	9	53	79	27	29	18	14
Athletics	-	-	-	-	-	-	1	1	1	1
Food service	-	-	-	-	-	-	-	1	1	1
Total	**1,037**	**1,028**	**1,028**	**1,072**	**1,127**	**1,235**	**1,021**	**1,080**	**1,116**	**985**

Operating Indicators

Last Ten Fiscal Years

June 30, 2021

Year	Enrollment	Operating expenditures	Cost per pupil	Operating revenue	Revenue per pupil	Total teaching staff	Percentage of students qualifying for free/reduced meals	Average teacher salary
2012	12,312	127,464,365	10,353	130,865,059	10,629	736	15.00	76,574
2013	12,438	132,351,755	10,641	131,343,410	10,560	762	16.00	73,683
2014	12,591	133,270,712	10,585	132,538,980	10,526	756	15.00	75,505
2015	12,563	137,233,758	10,924	135,821,734	10,811	787	14.00	72,769
2016	12,731	140,248,064	11,016	140,413,422	11,029	825	12.20	73,622
2017	12,932	143,554,320	11,101	146,167,117	11,303	848	11.37	73,603
2018	13,034	150,737,172	11,565	151,692,331	11,638	840	15.00	74,459
2019	13,061	153,676,834	11,766	153,796,953	11,775	837	14.00	74,442
2020	13,073	156,870,348	12,000	157,221,916	12,026	836	14.00	74,314
2021	12,723	164,655,892	12,942	171,189,282	13,455	813	11.00	75,918

Source: Troy School District

Function/ program	As of June 30,			
	2012	2013	2014	2015
Instructional buildings:				
Elementary:				
Number of buildings	12	12	12	12
Square footage	717,462	717,462	717,462	717,462
Capacity	6,400	6,400	6,400	6,400
Enrollment	5,344	5,462	5,588	5,534
Middle:				
Number of buildings	4	4	4	4
Square footage	450,492	450,492	450,492	450,492
Capacity	2,885	2,885	2,885	2,885
Enrollment	2,873	2,806	2,821	2,864
High:				
Number of buildings	4	4	4	4
Square footage	851,426	851,426	851,426	851,426
Capacity	4,596	4,596	4,596	4,596
Enrollment	4,123	4,158	4,182	4,197
Total enrollment*	12,340	12,426	12,591	12,595
Administrative:				
Number of buildings	2	2	2	2
Square footage	41,143	41,143	41,143	41,143
Transportation/Maintenance:				
Number of buildings	2	2	2	2
Buses	79	68	68	55

* - Per February Count Day

Source: Troy School District

As of June 30,					
2016	2017	2018	2019	2020	2021
12	12	12	12	12	12
717,462	717,462	717,462	717,462	717,462	717,462
6,400	6,400	6,400	6,400	6,400	6,400
5,591	5,609	5,647	5,603	5,533	5,303
4	4	4	4	4	4
450,492	450,492	450,492	450,492	450,492	450,492
2,885	2,885	2,885	2,885	2,885	2,885
2,921	2,988	2,995	3,065	3,079	2,899
4	4	4	4	4	4
851,426	851,426	851,426	851,426	851,426	851,426
4,596	4,596	4,596	4,596	4,596	4,596
4,219	4,334	4,392	4,393	4,461	4,521
12,731	12,931	13,034	13,061	13,073	12,723
2	2	2	2	2	2
41,143	41,143	41,143	41,143	41,143	41,143
2	2	2	2	2	2
56	65	69	69	69	71